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Uganda Revenue Authority

DEVELOPING UGANDA TOGETHER

# A GUIDE TO TAXATION OF GOVERNMENT AGENCIES

FY 2023-2024

## OVERVIEW

### WHAT IS A GOVERNMENT AGENCY?

A government agency is the political authority that governs an entire region, section or unity where the government has above 50% interest and draws most of its operational funds from the consolidated fund.

This may be a vote, subvention or an incorporation by government guarantee.

**Government agencies in Uganda include;**

- Ministries
- Departments
- Agencies - semi-autonomous/self-accounting entities
- Local governments (districts, municipalities, town councils etc.)

### WHAT IS CENTRAL GOVERNMENT COMPOSED OF?

Central government means the unitary political authority that governs or has controlling power over a sector, business area or higher level of governance of a country, state or nation.

These include both autonomous and semi-autonomous structures usually referred to as votes that have funds extended to them through the consolidated fund to execute government business.

"Sector" means a group of institutions or votes that have common functions, objectives and mandates;

"Vote" means an entity for which an appropriation is made by an Appropriation Act or Supplementary Appropriation Act.

### SHOULD GOVERNMENT AGENCIES REGISTER FOR TAXES?

Yes. In Uganda, government agencies are required to register for the relevant tax types and pay the tax due.

### CAN GOVERNMENT AGENCIES TRANSACT WITH PERSONS WHO ARE NOT REGISTERED FOR TAXES?

No. Under section 22(2)(m), of the Income Tax Act, no expenditure will be allowed for any expense that exceeds 5 million in one transaction in regard to supplies (goods or services) from an unregistered supplier. Government agencies should therefore transact with businesses that are registered.

### DIRECTIVE TO MINISTRIES, GOVERNMENT DEPARTMENTS, AGENCIES AND INSTITUTIONS ON USE OF TAX IDENTIFICATION NUMBERS

Section 135(3) of the Income Tax Act (ITA), requires that every local authority, government institution, or regulatory body shall require a Taxpayer Identification Number from any person applying for a license or any form of authorization necessary for purposes of conducting any business in Uganda.

## REQUIREMENTS FOR REGISTRATION FOR TAXES (TIN REGISTRATION)

TIN stands for Tax Identification Number. It is a 10-digit number which acts as an account of a taxpayer with Uganda Revenue Authority (URA). All taxpayers are required to quote this number in all their communications with URA and business transactions.

### Key requirements for TIN registration for government entities include;

| Entity Type | Entity Sub Type | Documents required<br>(M- Mandatory, O- Optional) |
|---|---|---|
| **Government entities** | Ministry | Letter from line ministry **(M)** |
| | Parastatal/Agency/ Authority | Act of Parliament **(M)** |
| | Government funded project | • Letter from line ministry **(M)**<br>• Act of Parliament **(O)** |
| | Government Schools | • Gazette **(M)**<br>• Letter from Ministry of Education**(M)** |
| | Government Universities | Act of Parliament **(M)** |

## HOW TO REGISTER FOR TAXES:

A TIN can be acquired through any of the processes below:

### 1. Through the URA Web portal:

a) Visit the URA web portal https://ura.go.ug and on the home page, click ‘Get a TIN’
b) Next, click ‘TIN Registration- Non-Individual’
c) On the Non-Individual TIN application page, click ‘click to apply for a Non-individual Tin’
d) Select ‘New form’ and under Download template for registration, click ‘Tin Non-Individual’ to download the registration template.
e) Save the downloaded registration template at a preferred location. It is an MS Excel template (Please do not rename it.)
f) Open the downloaded registration template and enable macros or content. (Please do not cut and paste any values in the sheet)
g) Fill out all required fields of the registration template. Fields labelled with a red asterisk (*) are mandatory fields.
h) After filling out the required fields of the registration template, you need to validate the data by clicking on the VALIDATE button. It is located on the last worksheet before HELP. The purpose of the VALIDATE button is to check for completeness, consistency and accuracy of the provided data.
i) If there is an error, you will be directed to the error page where you can correct the errors and validate again.
j) If there are no errors, click on yes to “save this template as an upload file”. Save the upload file to the desired location.

Please note: At the point of saving the upload file, do not rename it.

k) Return to the same page on the URA portal where you downloaded the registration template and upload the saved upload file. On this same page, download and print the terms and conditions.

l) Click submit. Upon submission, an acknowledgement receipt will be displayed with two buttons at the bottom; print and print form.
   - Click 'print' to print the acknowledgement receipt.
   - Click 'print form' to print the filled application form

The acknowledgement receipt will also be sent to the taxpayer's email address. Please take note of the reference number and search code that are indicated on the e-acknowledgement receipt, as you will use them to check the status of the TIN application.

m) After printing the application form, fill out and sign the section for declaration and certification

n) The TIN applicant is required to submit a signed hard copy of the filled application form, signed terms and conditions and the necessary identification documents to the nearest URA office.

**Please note** that these documents can be submitted before or after approval of the TIN.

### 2. Visiting a URA designated office

In case a taxpayer cannot register online, he or she can walk into any of the URA offices or One Stop Centre located in any Municipality or KCCA division and assistance shall be provided to complete the registration process. Ensure that you move along with the necessary attachments as listed above.
In case of failure to do any of the above, call: 0800217000 or 0800117000 (Toll free) or WhatsApp 0772140000 or email to services@ura.go.ug

## BENEFITS OF ACQUIRING A TIN

### Acquiring a TIN enables you to:

- Import or export goods.
- Claim tax benefits that accrue to you e.g. tax refunds.
- Access bank loans.
- Acquire a licence or any form of authorisation necessary for purposes of conducting any business in Uganda from a local authority, government institution, or regulatory body.
- Register an instrument required to pay stamp duty, for example, a court order.
- Register your Motor Vehicle
- Process land transactions.
- The TIN acts as a security measure on transactions regarding some assets e.g. already validated motor vehicles, titled land since a notification is automatically sent to the owner's TIN account and registered email.

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# URA SERVICES ARE

# NOT FOR SALE.

All URA offices do not accept cash payments of any kind.

**THINK • SPEAK • EXECUTE**

**Contact us: 0800117000 or 0800217000 | WhatsApp: 0772140000**
**Service Inquiry: services@ura.go.ug | Report Corruption: ignite@ura.go.ug**

## FAILURE TO REGISTER FOR A TIN, CANCEL A REGISTRATION OR NOTIFY THE COMMISSIONER OF A CHANGE IN REGISTRATION OR CIRCUMSTANCES

A person who fails to apply for registration, cancel a registration or notify the Commissioner of a change in registration or circumstances is liable to;

i. a fine not exceeding Shs. 3,000,000 or imprisonment not exceeding six years or both on conviction if the failure/act was done knowingly or recklessly.

ii. a fine not exceeding Shs. 1,000,000 or imprisonment not exceeding two years or both on conviction in any other case.The penalty to be paid under this section shall be recovered and collected as unpaid tax.

## USE OF A FALSE TIN

A TIN is personal to the person to whom it has been issued and shall not be used by another person.

A person who uses a false TIN on a tax return or other document prescribed or used for the purposes of a tax law, knowingly or recklessly or not, commits an offence and is liable on conviction to a fine not exceeding Shs. 3,000,000 or imprisonment not exceeding six years or both.

## TAXPAYER RIGHTS AND OBLIGATIONS

| Rights | Obligations |
|---|---|
| • You have a right to equity:<br>• Tax laws and procedures shall be applied consistently to you<br>• All your tax affairs will be handled with impartiality<br>• You and your agent(s) shall be presumed honest until proven otherwise<br>• You shall always pay the correct tax | • Ensure that you voluntarily register with Uganda Revenue Authority as a Taxpayer.<br>• File correct Tax Returns, Customs Entries or any forms relating to taxes and other revenue.<br>• Pay the correct tax at the right time and place as required by the relevant laws. |
| • Your tax affairs shall be kept secret and tax information in our possession shall be used in accordance with the law.<br>• You and your authorized agent(s) shall be provided with clear, precise and timely information<br>• You will receive courteous and professional services at all times | • In handling your tax matters, you and or your appointed agent(s) shall be expected to deal and cooperate only with the Authority's authorized staff.<br>• Be honest with URA.<br>• Quote your Tax Identification Number (TIN) for all dealings with URA.<br>• Comply with all the taxation requirements and regulations.<br>• Make full disclosure of information and correct declaration of all transactions at all times.<br>• Not indulge in any form of tax evasion and other illegal practices.<br>• Request for a proper receipt for all your purchases and keep records properly. |

## RECORD KEEPING

A government agency has to keep records relating to all its transactions. It is important to always have records that are dated so that you can understand which reports relate to what period. These include;

- Record of income realized in a given year
- Record of receipts / invoices and payments
- Record of vaccination details if applicable
- Record of debtors and Creditors
- Payroll for your employees if applicable
- Import schedules if applicable
- Contracts for supply
- Bank statements
- Utility bills
- Stock records
- Asset registers

## KEY THINGS TO NOTE IN REGARD TO RECORD KEEPING:

- Keep proper records of all business transactions in the English language.
- Keep records such that it is easy to determine their tax liability.
- Keep records for five years after the end of the tax period to which they relate for future reference.
- In case a record is necessary for a proceeding that started before the end of the 5-year period, a taxpayer shall keep the record until the end of the proceedings.
- The records kept should contain sufficient transaction information and should be saved in a format that is capable of being recovered and converted to a standard understandable record format.
- A taxpayer who wishes to keep records in a different language or currency shall apply in writing with clear reasons to the commissioner for permission.
- Where a record is not in English, the taxpayer will be required to meet the cost of translation into English by a translator approved by the Commissioner.

## PENALTY FOR FAILURE TO MAINTAIN PROPER RECORDS

- A person who knowingly or recklessly or not fails to maintain records as required under any tax law is liable to a fine not exceeding Shs. 2,000,000 or imprisonment not exceeding six years or both on conviction.

***Note: A taxpayer, who cannot effectively handle his tax matters, can appoint a tax agent to transact with URA on his/her behalf.***

## TAXES APPLICABLE TO GOVERNMENT AGENCIES

### PAYE AS YOU EARN (PAYE)

This tax applies to a government agency which has employees (administrative or causal laborers) that earn an aggregate in excess of 235,000 per month. This form of tax is withheld every month from the employee's salary by the employers and then remitted to URA on behalf of the employees.

### PAYE Tax rates that apply for both Residents and Non Residents:

**N.B CY represents chargeable income**

| CHARGEABLE INCOME (CY) IN UGX (MONTHLY) | RATE OF TAX RESIDENTS |
|---|---|
| 0 to 235,000 | Nil |
| 235,000 to 335,000 | (CY – 235,000 UGX) x 10% |
| 335,000 to 410,000 | (CY – 335,000UGX) x 20% + 10,000UGX |
| 410,000 to 10,000,000 | (CY – 410,000UGX) x 30% + 25,000UGX |
| Above 10,000,000 | [(CY – 410,000UGX) x 30% + 25,000UGX] +[(CY – 10,000,000UGX) x 10%] |

| CHARGEABLE INCOME (CY) IN UGX (MONTHLY) | RATE OF TAX NON-RESIDENTS |
|---|---|
| 0 to 335,000 UGX | CY x 10% |
| 335,000 to 410,000 | (CY – 335,000UGX) x 20% + 33,500 |
| 410,000 to 10,000,000 | (CY – 410,000UGX) x 30% + 48,500 |
| Above 10,000,000 | [(CY – 410,000UGX) x 30% + 48,500UGX] +[(CY – 10,000,000UGX) x 10%] |

**PAYE worked examples for resident employee;**

1. Kato is a resident employed by a government agency. He earns a monthly salary of UGX. 200,000. Is the government agency obliged to deduct PAYE tax from Kato?
Solution; No, because Kato's monthly salary is less than the threshold UGX 235,000 so his salary does not attract PAYE.
2. If Kato in addition to the monthly salary of UGX 200,000 is given travelling allowance of UGX 75,000 and medical allowance of UGX 45,000.

**Compute his monthly amount of PAYE to be deducted**

**Solution;**

Employment Income:

| | |
|---|---|
| Salary | 200,000 UGX |
| Travelling allowance | 75,000 UGX |
| Medical allowance | 45,000 UGX |
| Total | 320,000 UGX {chargeable income} |

UGX 320,000 falls under the bracket (Exceeding UGX 235,000 but not exceeding UGX 335,000)
Thus the PAYE applicable will be (10% of the amount by which chargeable income exceeds UGX 235,000)
**PAYE** = 10 %( 320,000 - 235,000) **=8,500 UGX**

### PAYE worked examples for non-resident employee;

3. Mr. Brown is a non-resident employed by XYZ Hotel. He earns a monthly salary of Shs. 15,000,000. Compute his monthly amount of PAYE to be deducted?

**Solution;**
15,000,000 falls under the bracket (Exceeding UGX. 410,000)

**Thus PAYE** = (48,500 + 30% (15,000,000 - 410,000)) + 10 % (15,000,000 - 10,000,000) **= UGX. 4,925,500**

### Responsibility of Filing a WHT return and Payment of WHT

- It is an obligation of the employer (not the employee) to deduct PAYE on a monthly basis and furnish the return within 15 Days after the end of the month.
- The amounts withheld should also be paid over to URA within 15 Days after the end of the month to avoid interest charges.

## STEP BY STEP GUIDE ON HOW TO MANIPULATE THE IPPS /HCM REPORT – PAY ROLE REGISTER REPORT- DETAIL

The pay role register report is obtained from the human resource unit of the MDA or DLG which manages the payroll. An extract of the report is as shown below and it the exact report that must be manipulated in order to file the PAYE return for the civil servants.

Government of Uganda
Ministry Of Public Service
Payroll Register Report - Detail

Report Date: 20/3/2015
Report Time: 11:11:01
User : BDAKITE
Page 1 Of

Filter Criteria : Fiscal Year - FY2014/2015

Period : 2014/2015 - 12 - 9, 2014/2015 - 6 - 9, 2014/2015 - 4 - 9, 2014/2015 - 10 - 9, 2014/2015 - 13 - 9, 2014/2015 - 7 - 9, 2014/2015 - 3 - 9, 2014/2015 - 8 - 9, 2014/2015 - 9 - 9

| Institution ID | Institution Description | Pay Code | Employee | First Name | Last Name | Date Of Birth | Cost Item | Deduction | Cost Item Amount | Deduction Amount | Net Payment |
|---|---|---|---|---|---|---|---|---|---|---|---|
| TERT5540542 | TORORO TECH. INST. | Decentralized Tertiary Employees | 000000000014326 | CHRISTINE | ALUPO | | Basic salary | | 537,405 | | |
| | | | | | | | | 249 | | 63,222 | |
| | | | | | | | | | | | 474,183 |
| TERT5540542 | TORORO TECH. INST. | Decentralized Tertiary Employees | 000000000014520 | DOMINIC | OKELLO | | Basic salary | | 237,069 | | |
| | | | | | | | | 249 | | 207 | |
| | | | | | | | | | | | 236,862 |
| 5540601 | EDUCTATION DEPARTMENT | Decentralized Tertiary Employees | 000000000177731 | KAWAKA | OLOKA | | Basic salary | | 1,282,315 | | |
| | | | | | | | | 249 | | 286,694 | |
| | | | | | | | | 257 | | 12,823 | |
| | | | | | | | | | | | 982,798 |
| TERT5540545 | MUKUJU CORE P.T.C | Decentralized Tertiary Employees | 000000000342726 | LEWIS | WEGULO | | Basic salary | | 798,535 | | |
| | | | | | | | | 249 | | 141,560 | |
| | | | | | | | | 257 | | 7,985 | |

PayrollRegisterDetailReport | Sheet1 | Sheet2

**N.B** From the above report for the purposes of PAYE return we are only interested in;

i. Employee Names
ii. Basic Salary
iii. Allowances
iv. Local Service Tax (LST - 250)
v. Pay as You Earn (PAYE – 249)

The main task is how to manipulate the IPPS report in order to get the above five mentioned elements in order to file a completed PAYE return. In order to do this, there is a need to introduce some excel formulas.

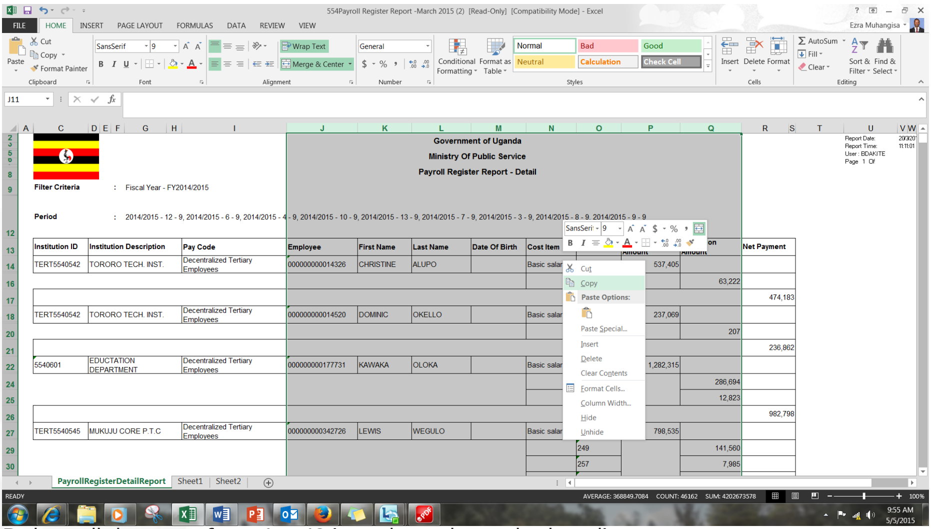
Below are the steps on how to get each of them.

## COMBINING NAMES

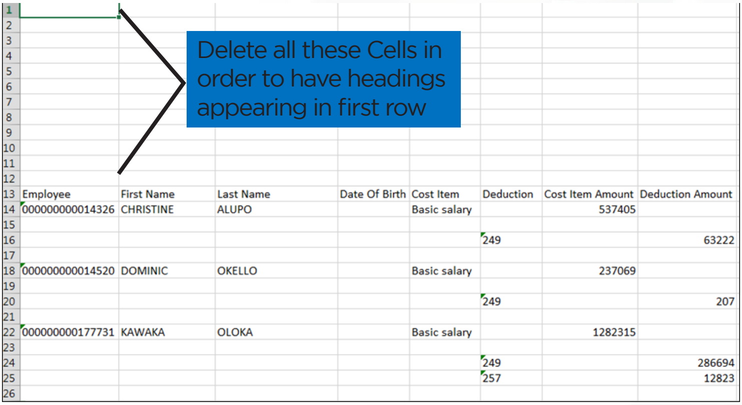
From the above IPPS report it can be seen that the first and last names are appearing in two different cells, yet the PAYE return requires them to be in one. In order to do this, follow these steps,

### Step 1:

On the pay role register, the report highlights all the columns from employee number to deduction amount. Copy all the highlighted columns, open a new workbook, right click and then click on paste special. After clicking on paste special you can then click on either values or text. Save the new workbook to a preferred location on your computer.




Delete all the rows form 1 to 12 in order to have the headings on top.

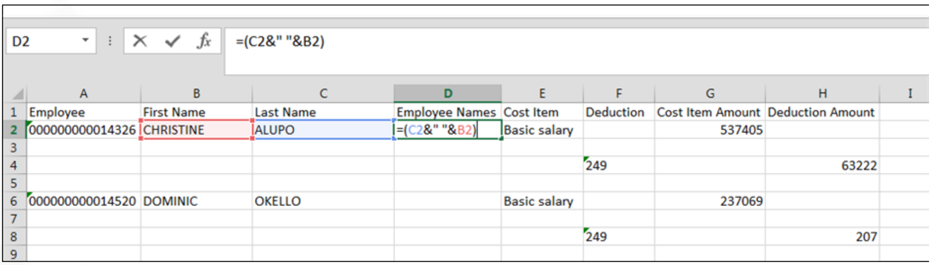



| | Employee | First Name | Last Name | Date Of Birth | Cost Item | Deduction | Cost Item Amount | Deduction Amount |
|---|---|---|---|---|---|---|---|---|
| 13 | Employee | First Name | Last Name | Date Of Birth | Cost Item | Deduction | Cost Item Amount | Deduction Amount |
| 14 | 000000000014326 | CHRISTINE | ALUPO | | Basic salary | | 537405 | |
| 16 | | | | | | 249 | | 63222 |
| 18 | 000000000014520 | DOMINIC | OKELLO | | Basic salary | | 237069 | |
| 20 | | | | | | 249 | | 207 |
| 22 | 000000000177731 | KAWAKA | OLOKA | | Basic salary | | 1282315 | |
| 24 | | | | | | 249 | | 286694 |
| 25 | | | | | | 257 | | 12823 |

In order to combine the first name and last name in one cell, introduce a text formula concatenate. Rename the heading for the date of birth to employee names because date of birth is not required anywhere in the return, introduce concatenate formula and this can be applied as follows.

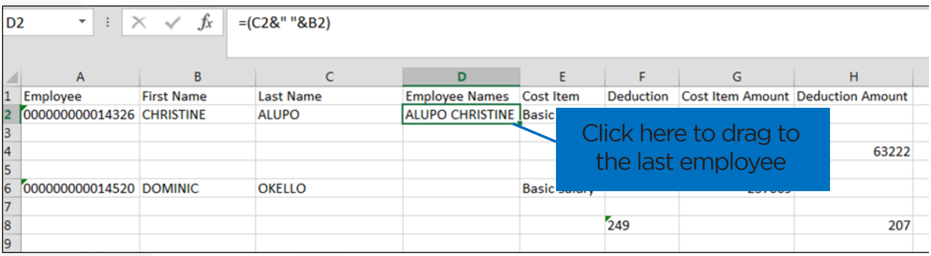
Click on cell D2 (where you want your names to be) i.e. the cell under employee names, start with equal signs, open the brackets, click the last name in this example, Alupo, type an and sign (&), put quotation marks ("), press space key on the keyboard, closing quotation marks ("), type an and sign (&), then click on the first name in this example Christine and close the brackets, after putting the formula, place the enter key on the key board.

The formula is = (C2&" "&B2).



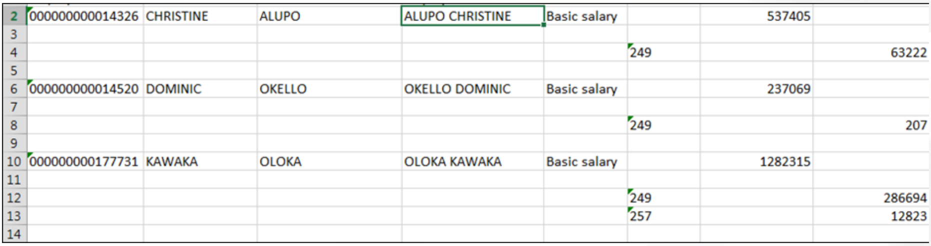

| | A | B | C | D | E | F | G | H |
|---|---|---|---|---|---|---|---|---|
| 1 | Employee | First Name | Last Name | Employee Names | Cost Item | Deduction | Cost Item Amount | Deduction Amount |
| 2 | 000000000014326 | CHRISTINE | ALUPO | =(C2&" "&B2) | Basic salary | | 537405 | |
| 4 | | | | | | 249 | | 63222 |
| 6 | 000000000014520 | DOMINIC | OKELLO | | Basic salary | | 237069 | |
| 8 | | | | | | 249 | | 207 |

After closing the brackets press the enter key on the keyboard, the names will appear as shown below.



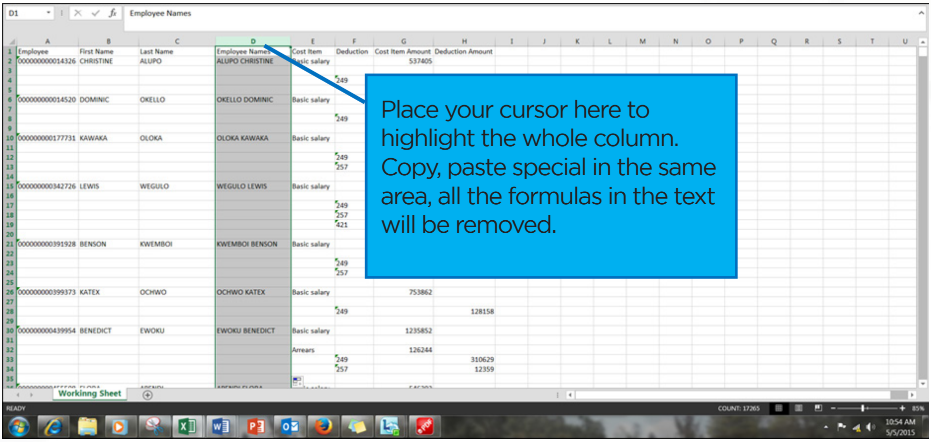

| | A | B | C | D | E | F | G | H |
|---|---|---|---|---|---|---|---|---|
| 1 | Employee | First Name | Last Name | Employee Names | Cost Item | Deduction | Cost Item Amount | Deduction Amount |
| 2 | 000000000014326 | CHRISTINE | ALUPO | ALUPO CHRISTINE | Basic | | | |
| 4 | | | | | | | | 63222 |
| 6 | 000000000014520 | DOMINIC | OKELLO | | Basic | | | |
| 8 | | | | | | 249 | | 207 |

After dragging from first employee to the last employee as they are appearing on the pay roll, all the names will appear as shown in the illustration below.



| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| 2 | 000000000014326 | CHRISTINE | ALUPO | ALUPO CHRISTINE | Basic salary | | 537405 | |
| 3 | | | | | | | | |
| 4 | | | | | | 249 | | 63222 |
| 5 | | | | | | | | |
| 6 | 000000000014520 | DOMINIC | OKELLO | OKELLO DOMINIC | Basic salary | | 237069 | |
| 7 | | | | | | | | |
| 8 | | | | | | 249 | | 207 |
| 9 | | | | | | | | |
| 10 | 000000000177731 | KAWAKA | OLOKA | OLOKA KAWAKA | Basic salary | | 1282315 | |
| 11 | | | | | | | | |
| 12 | | | | | | 249 | | 286694 |
| 13 | | | | | | 257 | | 12823 |
| 14 | | | | | | | | |

After getting a full column with combined first and last names, highlight the whole column, copy, right click, and then click on paste special, then select values.
In other words, copy and paste values in the same area. When this is done, all the formulas are removed.

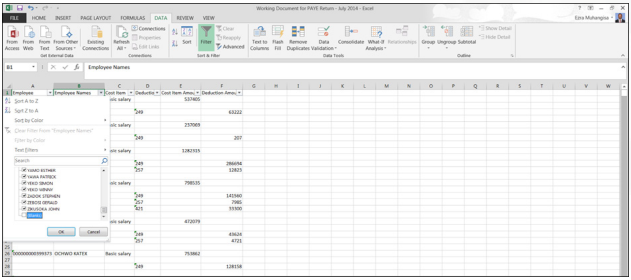



After removing the formula by copying and pasting special – values in the same areas for combined names, you can now delete the columns for first and last names.
At this point you have a column with combined names. What is remaining is allowances, LST and PAYE.

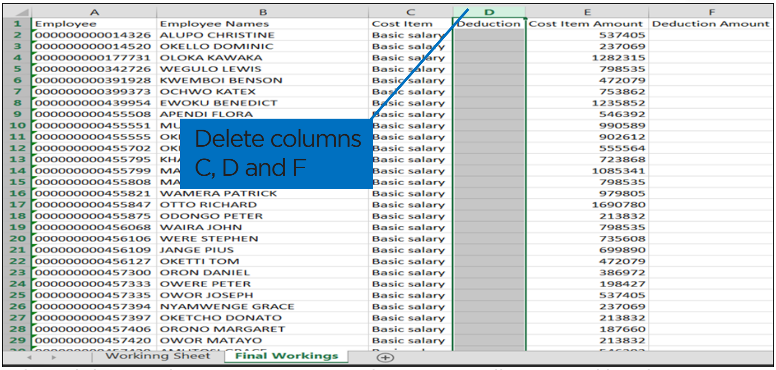
## BASIC SALARY

### Step 2:

To get the basic salary for all the employees, open another sheet in the same work book and rename that sheet final workings, click on employee name, and click on data and then filter. The filters will appear as below. On the filters under employee name, click on the drop down at the end of the names. You will see blanks, untick it and OK. You will get a list of all names and their corresponding basic salary or under cost item, click on the drop down, and filter basic salary, you will get a list of all the names and their corresponding basic salary.

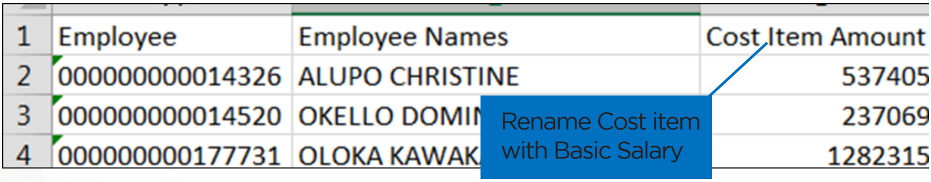


All the names and the corresponding basic salary will appear, copy everything and paste special values in a new sheet which you renamed final workings. After pasting, delete the unnecessary columns, that is; cost item, deduction and the deduction amount. The column for the cost item amount is the basic salary amount.




| | A | B | C | D | E | F |
|---|---|---|---|---|---|---|
| 1 | Employee | Employee Names | Cost Item | Deduction | Cost Item Amount | Deduction Amount |
| 2 | 000000000014326 | ALUPO CHRISTINE | Basic salary | | 537405 | |
| 3 | 000000000014520 | OKELLO DOMINIC | Basic salary | | 237069 | |
| 4 | 000000000177731 | OLOKA KAWAKA | Basic salary | | 1282315 | |
| 5 | 000000000342726 | WEGULO LEWIS | Basic salary | | 798535 | |
| 6 | 000000000391928 | KWEMBOI BENSON | Basic salary | | 472079 | |
| 7 | 000000000399373 | OCHWO KATEX | Basic salary | | 753862 | |
| 8 | 000000000439954 | EWOKU BENEDICT | Basic salary | | 1235852 | |
| 9 | 000000000455508 | APENDI FLORA | Basic salary | | 546392 | |
| 10 | 000000000455551 | MU | Basic salary | | 990589 | |
| 11 | 000000000455555 | OK | Basic salary | | 902612 | |
| 12 | 000000000455702 | OK | Basic salary | | 555564 | |
| 13 | 000000000455795 | KH | Basic salary | | 723868 | |
| 14 | 000000000455799 | MA | Basic salary | | 1085341 | |
| 15 | 000000000455808 | MA | Basic salary | | 798535 | |
| 16 | 000000000455821 | WAMERA PATRICK | Basic salary | | 979805 | |
| 17 | 000000000455847 | OTTO RICHARD | Basic salary | | 1690780 | |
| 18 | 000000000455875 | ODONGO PETER | Basic salary | | 213832 | |
| 19 | 000000000456068 | WAIRA JOHN | Basic salary | | 798535 | |
| 20 | 000000000456106 | WERE STEPHEN | Basic salary | | 735608 | |
| 21 | 000000000456109 | JANGE PIUS | Basic salary | | 699890 | |
| 22 | 000000000456127 | OKETTI TOM | Basic salary | | 472079 | |
| 23 | 000000000457300 | ORON DANIEL | Basic salary | | 386972 | |
| 24 | 000000000457333 | OWERE PETER | Basic salary | | 198427 | |
| 25 | 000000000457335 | OWOR JOSEPH | Basic salary | | 537405 | |
| 26 | 000000000457394 | NYAMWENGE GRACE | Basic salary | | 237069 | |
| 27 | 000000000457397 | OKETCHO DONATO | Basic salary | | 213832 | |
| 28 | 000000000457406 | ORONO MARGARET | Basic salary | | 187660 | |
| 29 | 000000000457420 | OWOR MATAYO | Basic salary | | 213832 | |

After deleting the unnecessary columns, it will appear like this. Rename the cost item amount with basic salary.




| | | | |
|---|---|---|---|
| 1 | Employee | Employee Names | Cost Item Amount |
| 2 | 000000000014326 | ALUPO CHRISTINE | 537405 |
| 3 | 000000000014520 | OKELLO DOMIN | 237069 |
| 4 | 000000000177731 | OLOKA KAWAK | 1282315 |

At this point, you have names and basic salary, the next step is to get allowances.

## ALLOWANCES

### Step 3:

For allowances there are three issues that must be sorted out. From the IPPS reports it can be seen, the allowances figures do not exactly tally with names in the same rows. There are blanks, so this needs to be sorted out first. To do this you need to use a formula for auto-filling of blank spaces in order to have computer numbers clearly correspond with the allowances.

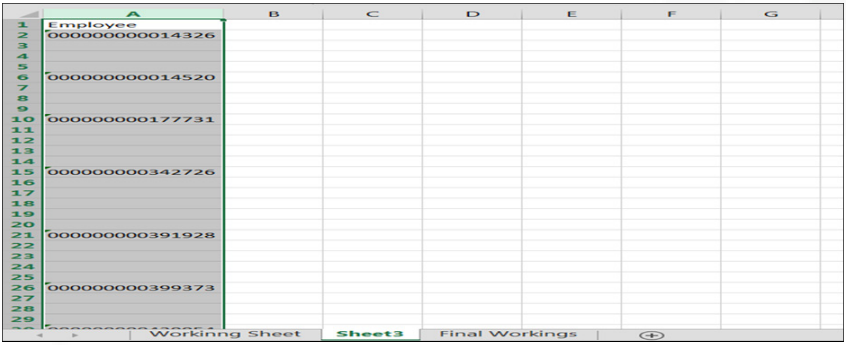
Still on allowances, one employee can have more than one allowance which is not specific. In order to have a summary of each employee showing the summations, you need to use a pivot table.

Finally after having a summary of each employee from the pivot table, the task ahead is to align or match the employee with allowances. Here you will need to use Vlook up Functionality in excel.

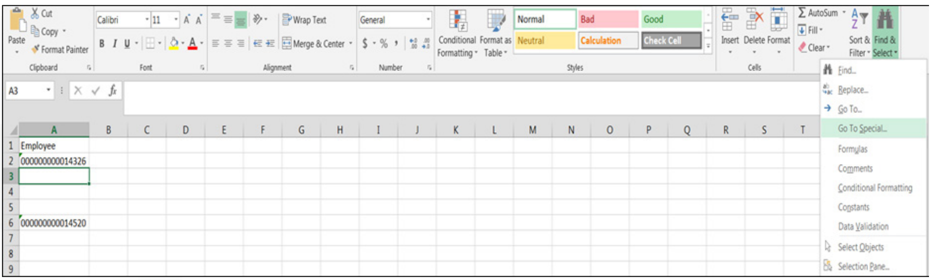
Here you need to first fill in the blank spaces, then get a summary from the pivot table and finally use Vlook up.

## 1. Blanks – auto fill of blanks

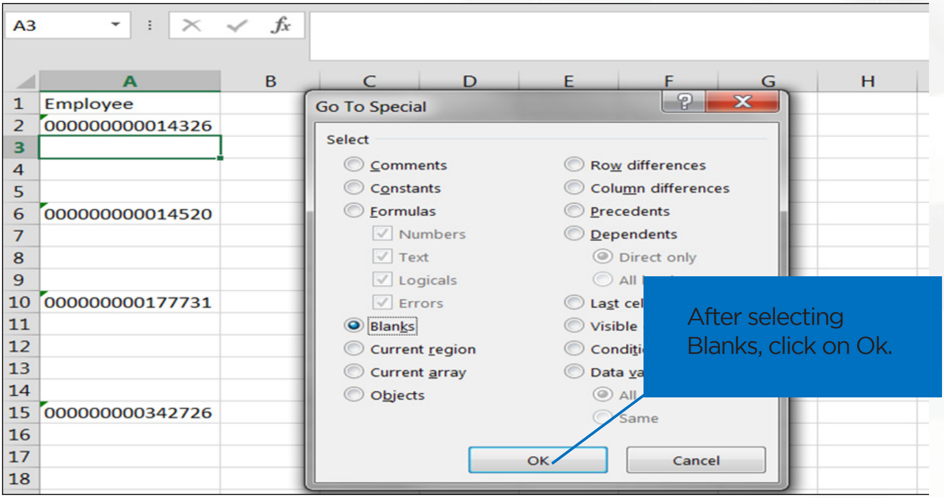
Go back to the working sheet and remove the filters. Highlight and copy the column for the computer number and paste special values on another sheet as follows.



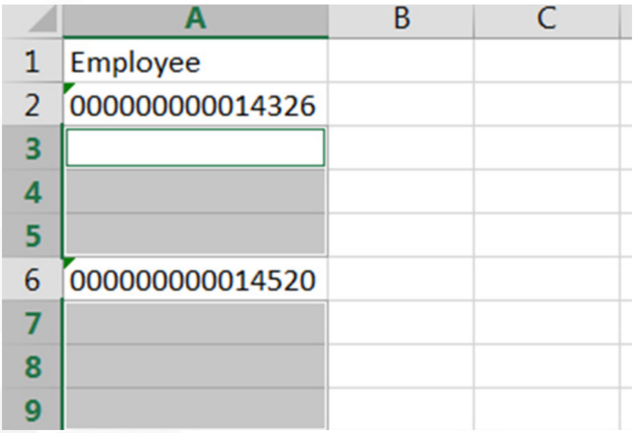

On the sheet with computer numbers only, click on the cell below the first computer number, that is; cell A3, click on home then click on find & select - go to special




After clicking on, go to Special, you will get a page like below, select blanks and click OK.




After clicking **OK** and all the blanks being highlighted, do not click anywhere. Put an equal sign in the active cell,that is; A3, click on the first computer number, then press Ctrl plus Enter, all the blank spaces will be auto filled with the respective computer numbers.



From this sheet, copy the column for the computer numbers and paste special values on the sheet for workings to replace the existing computer numbers which should be aligned well. It should appear as follows:

| | A | B | C | D | E | F |
|---|---|---|---|---|---|---|
| 1 | Employee | Employee Names | Cost Item | Deduction | Cost Item Amount | Deduction Amount |
| 2 | 000000000014326 | ALUPO CHRISTINE | Basic salary | | 537405 | |
| 3 | 000000000014326 | | | | | |
| 4 | 000000000014326 | | | 249 | | 63222 |
| 5 | 000000000014326 | | | | | |
| 6 | 000000000014520 | OKELLO DOMINIC | Basic salary | | 237069 | |
| 7 | 000000000014520 | | | | | |
| 8 | 000000000014520 | | | 249 | | 207 |
| 9 | 000000000014520 | | | | | |
| 10 | 000000000177731 | [illegible]KA KAWAKA | Basic salary | | 1282315 | |
| 11 | 000000000177731 | | | | | |
| 12 | 000000000177731 | | | 249 | | 286694 |
| 13 | 000000000177731 | | | 257 | | 12823 |
| 14 | 000000000177731 | | | | | |
| 15 | 000000000342726 | WEGULO LEWIS | Basic salary | | 798535 | |
| 16 | 000000000342726 | | | | | |
| 17 | 000000000342726 | | | 249 | | 141560 |
| 18 | 000000000342726 | | | 257 | | 7985 |
| 19 | 000000000342726 | | | 421 | | 33300 |
| 20 | 000000000342726 | | | | | |
| 21 | 000000000391928 | KWEMBOI BENSON | Basic salary | | 472079 | |
| 22 | 000000000391928 | | | | | |
| 23 | 000000000391928 | | | 249 | | 43624 |
| 24 | 000000000391928 | | | 257 | | 4721 |
| 25 | 000000000391928 | | | | | |
| 26 | 000000000399373 | OCHWO KATEX | Basic salary | | 753862 | |
| 27 | 000000000399373 | | | | | |
| 28 | 000000000399373 | | | 249 | | 128158 |
| 29 | 000000000399373 | | | | | |
| 30 | 000000000439954 | EWOKU BENEDICT | Basic salary | | 1235852 | |
| 31 | 000000000439954 | | | | | |
| 32 | 000000000439954 | | Arrears | | 126244 | |
| 33 | 000000000439954 | | | 249 | | 310629 |
| 34 | 000000000439954 | | | 257 | | 12359 |
| 35 | 000000000439954 | | | | | |

Workinng Sheet | Sheet3 | Final Workings

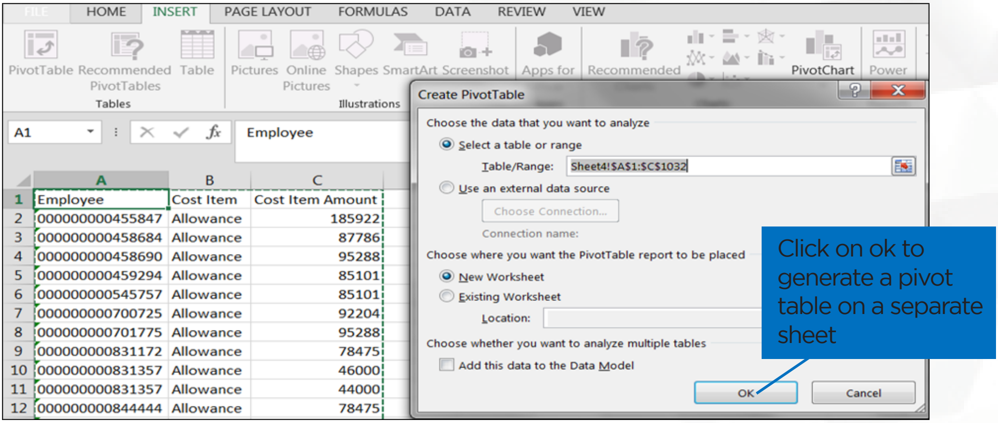
At this point all the blank spaces in the computer number which is our unique identifier have been filled, what is remaining now is to remove the duplicates in the allowances, that is; getting a summation for every employee who gets allowances.

## 2. Removing Duplicates in allowances.

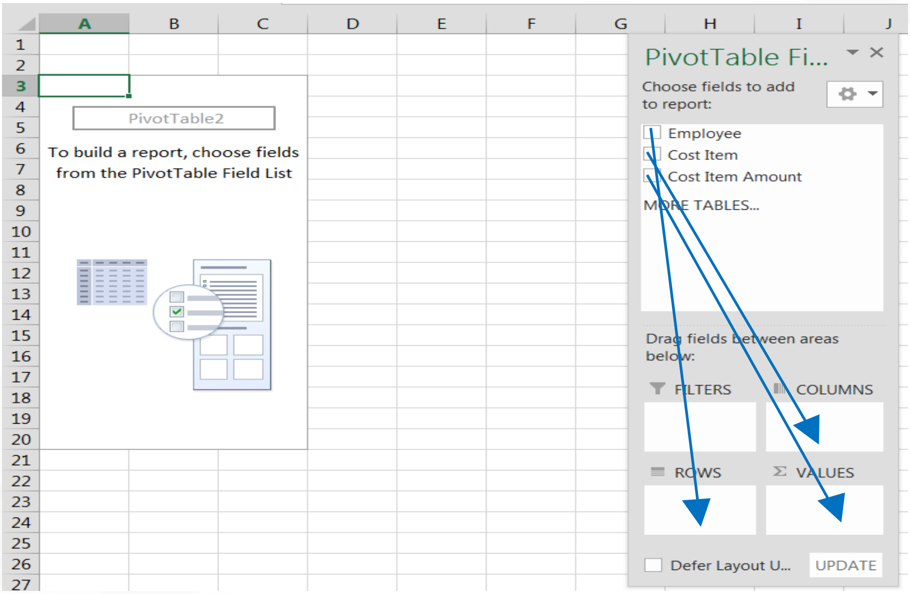
From the working sheet, click on cost item then data, and filter. At this point, filter out only the allowances, copy and paste special – values on another sheet. Delete the unnecessary columns to remain with column for employee, cost item and cost item amount. After deleting all unnecessary columns, you should be able to remain with this.

| | A | B | C |
|---|---|---|---|
| 1 | Employee | Cost Item | Cost Item Amount |
| 2 | 000000000455847 | Allowance | 185922 |
| 3 | 000000000458684 | Allowance | 87786 |
| 4 | 000000000458690 | Allowance | 95288 |
| 5 | 000000000459294 | Allowance | 85101 |
| 6 | 000000000545757 | Allowance | 85101 |
| 7 | 000000000700725 | Allowance | 92204 |
| 8 | 000000000701775 | Allowance | 95288 |
| 9 | 000000000831172 | Allowance | 78475 |
| 10 | 000000000831357 | Allowance | 46000 |
| 11 | 000000000831357 | Allowance | 44000 |
| 12 | 000000000844444 | Allowance | 78475 |
| 13 | 000000000844444 | Allowance | 66000 |
| 14 | 000000000844817 | Allowance | 78475 |

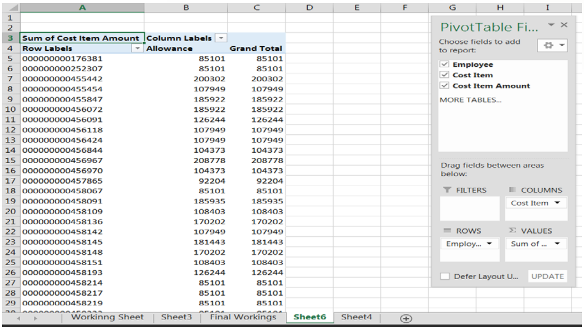
Click on employee, then click on insert, then click on pivot table
, you should get a page like the one below




After clicking on ok, a pivot table will be created on a separate sheet.



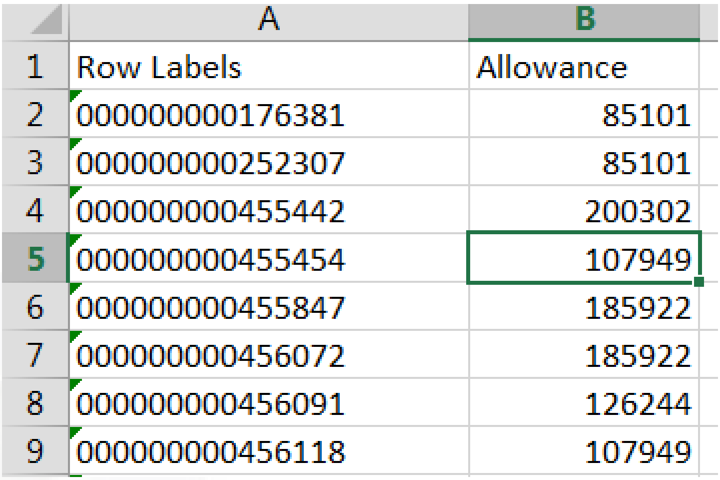
On this pivot table, click and hold on employee and drag it to rows, cost item drag it to columns and cost item amount drag it to values. You will get your pivot table as below:



| Sum of Cost Item Amount | Column Labels | |
|---|---|---|
| Row Labels | Allowance | Grand Total |
| 000000000176381 | 85101 | 85101 |
| 000000000252307 | 85101 | 85101 |
| 000000000455442 | 200302 | 200302 |
| 000000000455454 | 107949 | 107949 |
| 000000000455847 | 185922 | 185922 |
| 000000000456072 | 185922 | 185922 |
| 000000000456091 | 126244 | 126244 |
| 000000000456118 | 107949 | 107949 |
| 000000000456424 | 107949 | 107949 |
| 000000000456844 | 104373 | 104373 |
| 000000000456967 | 208778 | 208778 |
| 000000000456970 | 104373 | 104373 |
| 000000000457865 | 92204 | 92204 |
| 000000000458067 | 85101 | 85101 |
| 000000000458091 | 185935 | 185935 |
| 000000000458109 | 108403 | 108403 |
| 000000000458136 | 170202 | 170202 |
| 000000000458142 | 107949 | 107949 |
| 000000000458145 | 181443 | 181443 |
| 000000000458148 | 170202 | 170202 |
| 000000000458151 | 108403 | 108403 |
| 000000000458193 | 126244 | 126244 |
| 000000000458214 | 85101 | 85101 |
| 000000000458217 | 85101 | 85101 |
| 000000000458219 | 85101 | 85101 |



From the pivot table, copy all the columns and paste special values in the same areas in order to remove the formulas, delete all unnecessary rows on top to remain with this. Rename this sheet and call it allowances for consistency purposes or any other name, provided you can remember that it is the sheet for allowance.

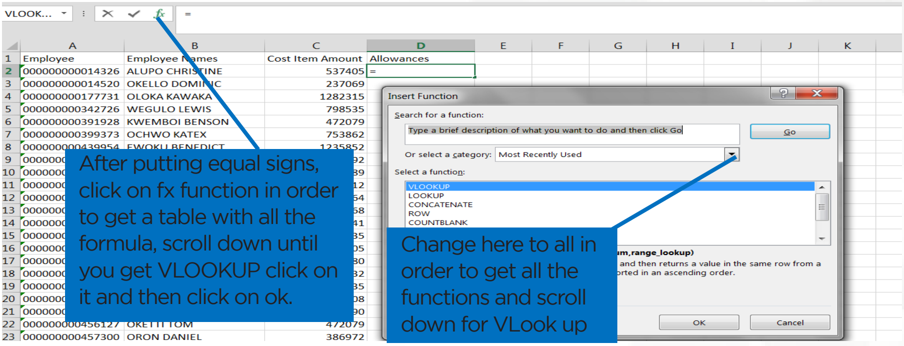


| Row Labels | Allowance |
|---|---|
| 000000000176381 | 85101 |
| 000000000252307 | 85101 |
| 000000000455442 | 200302 |
| 000000000455454 | 107949 |
| 000000000455847 | 185922 |
| 000000000456072 | 185922 |
| 000000000456091 | 126244 |
| 000000000456118 | 107949 |

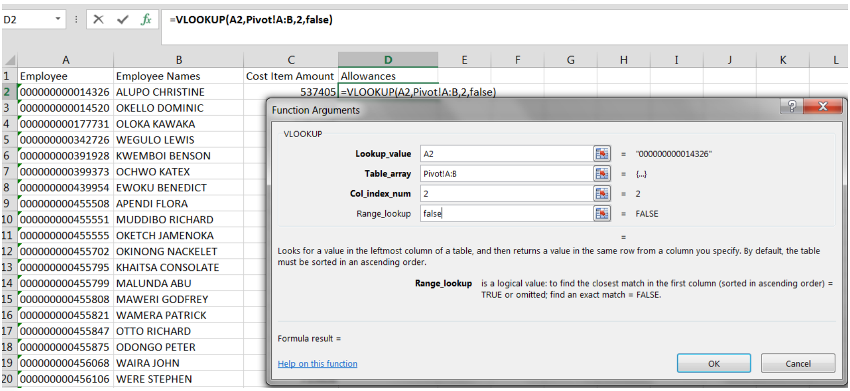
At this point you have a sheet with computer numbers and allowances. What is remaining is matching this sheet with the sheet for final workings. Here you will use Vlook up , functionality in order to pick only employees with allowances from this sheet to the sheet for final workings.

### 3. Matching allowances Sheet to the final workings sheet.

Go to the final working sheet, insert a column for allowances, in the second cell, that is D2, put equal signs = and click on fx symbol and look for the Vlook up function and click OK




Under function argument, the active cell will be for lookup _value. Click on the first computer number, A2 will appear, then click in the next cell which is for table array. Go and select the whole table for allowances. In the table for allowances count the column number with the values you are interested in. It can be column number 2, or 3 or 4. After knowing the column number, click in the cell for  col_index_num then put in the column number. Click in the cell for range lookup and type in the word false and then click OK.



After clicking OK, if the computer number in the allowances sheet also appears in the final working sheet, you will get a value. However if the computer number in the allowances sheet does not appear in the final working sheet, you will get a sign (#N/A). You need to drag the formula from the first name to the last in order to get values for those who get allowances.

D2 fx #N/A

| | A | B | C | D |
|---|---|---|---|---|
| 1 | Employee | Employee Names | Cost Item Amount | Allowances |
| 2 | 000000000014326 | ALUPO CHRISTINE | 537405 | #N/A |
| 3 | 000000000014520 | OKELLO DOMINIC | 237069 | |
| 4 | 000000000177731 | OLOKA KAWAKA | 1282315 | |
| 5 | 000000000342726 | WEGULO LEWIS | 798535 | |
| 6 | 000000000391928 | KWEMBOI BENSON | | |
| 7 | 000000000399373 | OCHWO KATEX | | |
| 8 | 000000000439954 | EWOKU BENEDICT | | |
| 9 | 000000000455508 | APENDI FLORA | | |
| 10 | 000000000455551 | MUDDIBO RICHARD | | |
| 11 | 000000000455555 | OKETCH JAMENOKA | | |
| 12 | 000000000455702 | OKINONG NACKELE | | |
| 13 | 000000000455795 | KHAITSA CONSOLAT | | |
| 14 | 000000000455799 | MALUNDA ABU | | |
| 15 | 000000000455808 | MAWERI GODFREY | 798535 | |
| 16 | 000000000455821 | WAMERA PATRICK | 979805 | |
| 17 | 000000000455847 | OTTO RICHARD | 1690780 | |
| 18 | 000000000455875 | ODONGO PETER | 213832 | |
| 19 | 000000000456068 | WAIRA JOHN | 798535 | |
| 20 | 000000000456106 | WERE STEPHEN | 735608 | |
| 21 | 000000000456109 | JANGE PIUS | 699890 | |
| 22 | 000000000456127 | OKETTI TOM | 472079 | |
| 23 | 000000000457300 | ORON DANIEL | 386972 | |

Click here to drag the formula up the last employee.

As seen in this illustration, those employees without allowances have #N/A, where as those with allowances have values, as seen on line 17.

| 1 | Employee | Employee Names | Cost Item Amount | Allowances |
|---|---|---|---|---|
| 2 | 000000000014326 | ALUPO CHRISTINE | 5[illegible]05 | #N/A |
| 3 | 000000000014520 | OKELLO DOMINIC | 237069 | #N/A |
| 4 | 000000000177731 | OLOKA KAWAKA | 1282315 | #N/A |
| 5 | 000000000342726 | WEGULO LEWIS | 798535 | #N/A |
| 6 | 000000000391928 | KWEMBOI BENSON | 472079 | #N/A |
| 7 | 000000000399373 | OCHWO KATEX | 753862 | #N/A |
| 8 | 000000000439954 | EWOKU BENEDICT | 1235852 | #N/A |
| 9 | 000000000455508 | APENDI FLORA | 546392 | #N/A |
| 10 | 000000000455551 | MUDDIBO RICHARD | 990589 | #N/A |
| 11 | 000000000455555 | OKETCH JAMENOKA | 902612 | #N/A |
| 12 | 000000000455702 | OKINONG NACKELET | 555564 | #N/A |
| 13 | 000000000455795 | KHAITSA CONSOLATE | 723868 | #N/A |
| 14 | 000000000455799 | MALUNDA ABU | 1085341 | #N/A |
| 15 | 000000000455808 | MAWERI GODFREY | 798535 | #N/A |
| 16 | 000000000455821 | WAMERA PATRICK | 979805 | #N/A |
| 17 | 000000000455847 | OTTO RICHARD | 1690780 | 185922 |
| 18 | 000000000455875 | ODONGO PETER | 213832 | #N/A |
| 19 | 000000000456068 | WAIRA JOHN | 798535 | #N/A |
| 20 | 000000000456106 | WERE STEPHEN | 735608 | #N/A |
| 21 | 000000000456109 | JANGE PIUS | 699890 | #N/A |
| 22 | 000000000456127 | OKETTI TOM | 472079 | #N/A |
| 23 | 000000000457300 | ORON DANIEL | 386972 | #N/A |
| 24 | 000000000457333 | OWERE PETER | 198427 | #N/A |
| 25 | 000000000457335 | OWOR JOSEPH | 537405 | #N/A |
| 26 | 000000000457394 | NYAMWENGE GRACE | 237069 | #N/A |
| 27 | 000000000457397 | OKETCHO DONATO | 213832 | #N/A |
| 28 | 000000000457406 | ORONO MARGARET | 187660 | #N/A |
| 29 | 000000000457420 | OWOR MATAYO | 213832 | #N/A |

After verifying that the formula has run from the first to the last employee, copy the whole column and paste special then values in the same area, all the formulas will disappear, you can now replace the text #N/A with a zero (0) by pressing CTRL plus F on the keyboard. A pop up window for find and replace will appear, click on replace, copy the text #N/A and paste it in find what , click in replace with and type in 0 and click on replace all.

D7 #N/A

| | A | B | C | D |
|---|---|---|---|---|
| 1 | Employee | Employee Names | Cost Item Amount | Allowances |
| 2 | 000000000014326 | ALUPO CHRISTINE | 537405 | #N/A |
| 3 | 000000000014520 | OKELLO DOMINIC | 237069 | #N/A |
| 4 | 000000000177731 | OLOKA KAWAKA | 1282315 | #N/A |
| 5 | 000000000342726 | WEGULO LEWIS | 798535 | #N/A |
| 6 | 000000000391928 | KWEMBOI BENSON | 472079 | #N/A |
| 7 | 000000000399373 | OCHWO KATEX | 753862 | #N/A |
| 8 | 000000000439954 | EWOKU BENEDICT | 123585 | |
| 9 | 000000000455508 | APENDI FLORA | 54639 | |
| 10 | 000000000455551 | MUDDIBO RICHARD | 99058 | |
| 11 | 000000000455555 | OKETCH JAMENOKA | 90261 | |
| 12 | 000000000455702 | OKINONG NACKELET | 55556 | |
| 13 | 000000000455795 | KHAITSA CONSOLATE | 72386 | |
| 14 | 000000000455799 | MALUNDA ABU | 108534 | |
| 15 | 000000000455808 | MAWERI GODFREY | 79853 | |
| 16 | 000000000455821 | WAMERA PATRICK | 97980 | |
| 17 | 000000000455847 | OTTO RICHARD | 169078 | |
| 18 | 000000000455875 | ODONGO PETER | 21383 | |
| 19 | 000000000456068 | WAIRA JOHN | 798535 | #N/A |
| 20 | 000000000456106 | WERE STEPHEN | 735608 | #N/A |
| 21 | 000000000456109 | JANGE PIUS | 699890 | #N/A |
| 22 | 000000000456127 | OKETTI TOM | 472079 | #N/A |
| 23 | 000000000457300 | ORON DANIEL | 386972 | #N/A |
| 24 | 000000000457333 | OWERE PETER | 198427 | #N/A |

Find and Replace

Find | Replace

Find what: #N/A

Replace with: 0

Options >>

Replace All | Replace | Find All | Find Next | Close

After replacing the text #N/A with 0 the vales for allowances will be over as seen in the illustration below, what is remaining is LST (250) and PAYE (249).

| 1 | Employee | Employee Names | Cost Item Amount | Allowances |
|---|---|---|---|---|
| 2 | 000000000014326 | ALUPO CHRISTINE | 537405 | 0 |
| 3 | 000000000014520 | OKELLO DOMINIC | 237069 | 0 |
| 4 | 000000000177731 | OLOKA KAWAKA | 1282315 | 0 |
| 5 | 000000000342726 | WEGULO LEWIS | 798535 | 0 |
| 6 | 000000000391928 | KWEMBOI BENSON | 472079 | 0 |
| 7 | 000000000399373 | OCHWO KATEX | 753862 | 0 |
| 8 | 000000000439954 | EWOKU BENEDICT | 1235852 | 0 |
| 9 | 000000000455508 | APENDI FLORA | 546392 | 0 |
| 10 | 000000000455551 | MUDDIBO RICHARD | 990589 | 0 |
| 11 | 000000000455555 | OKETCH JAMENOKA | 902612 | 0 |
| 12 | 000000000455702 | OKINONG NACKELET | 555564 | 0 |
| 13 | 000000000455795 | KHAITSA CONSOLATE | 723868 | 0 |
| 14 | 000000000455799 | MALUNDA ABU | 1085341 | 0 |
| 15 | 000000000455808 | MAWERI GODFREY | 798535 | 0 |
| 16 | 000000000455821 | WAMERA PATRICK | 979805 | 0 |
| 17 | 000000000455847 | OTTO RICHARD | 1690780 | 185922 |
| 18 | 000000000455875 | ODONGO PETER | 213832 | 0 |
| 19 | 000000000456068 | WAIRA JOHN | 798535 | 0 |
| 20 | 000000000456106 | WERE STEPHEN | 735608 | 0 |

## LST (250)

### Step 4

You now need to go to the working sheet and remove the filters by clicking on date then filters. You will get back the original information.

Click on the first employee, then data, then filter. Under deductions, from the drop down, unselect all. There after only select code 250 in order to get a list of the employees that were paid Local Service Tax.

Copy everything, open a new sheet and rename it LST. Right click on the newly created sheet, select paste special then values, a list of those employees who paid LST will appear.

At this point, go to the final working sheet and create a column for LST. Use Vlook up functionality as already seen in allowances to pick the values for LST unto the final working sheet. Do the necessary checking as already seen. Remove the formula and replace the text #N/A with 0, you will be able to have a column for LST ready.

## PAYE (249)

### Step 5

You now need to go the working sheet and remove the filters by clicking on data then filters, you will get back the original information.

Click on the first employee, then data then filter. Under deductions, from the drop down, unselect all, there after only select code 249 in order to get a list of the employees that were paid PAYE

Copy everything, open a new sheet and rename it PAYE. Right click on the newly created sheet, select paste special then values. A list of those employees who paid PAYE will appear.

At this point, go to the final working sheet, and create a column for PAYE. Use Vlook up functionality as already seen in allowances to pick the values for PAYE unto the final working sheet. Do the necessary checking as already seen. Remove the formula and replace the text #N/A with 0. You will be able to have a column for PAYE also ready. As it can be seen in the table below, all the fields necessary for PAYE Return are ready.

| 1 | Employee | Names | Basic Salary | Allowances | LST | PAYE |
|---|---|---|---|---|---|---|
| 2 | 000000000014452 | BYARUHANGA CORNELIUS | 416,617 | - | - | 26,985 |
| 3 | 000000000077349 | NANNYONDO HARRIET | 1,089,533 | - | - | 228,860 |
| 4 | 000000000221832 | OLILA ISMAIL | 723,868 | - | - | 119,160 |
| 5 | 000000000222246 | RUCECERWA ADELLA | 794,074 | - | - | 140,222 |
| 6 | 000000000418379 | BYIMANA AMOS | 333,444 | - | - | 10,344 |
| 7 | 000000000433303 | KUBARUHO HASTINGS | 537,405 | - | - | 63,222 |
| 8 | 000000000433311 | NDYAMUBA ELIAS | 1,690,780 | - | - | 447,107 |
| 9 | 000000000433315 | AGASHA CONSTANCE | 1,669,621 | - | - | 402,886 |
| 10 | 000000000433342 | BAMUTUHAIRE DENIS | 598,822 | - | - | 81,647 |
| 11 | 000000000435450 | TWINOMUJUNI MOSES | 187,660 | - | - | - |
| 12 | 000000000435575 | TUMWESIGYE JOSEPHINE | 472,079 | - | - | 43,624 |
| 13 | 000000000435887 | BUMWE SASAYO | 187,660 | - | - | - |
| 14 | 000000000436039 | MWEBAZE WILSON | 472,079 | 85,101 | - | 94,684 |
| 15 | 000000000436072 | MUNYWANISA BAMPARANA | 472,079 | - | - | 43,624 |
| 16 | 000000000436090 | BYAMUKAMA FRANCIS | 209,859 | - | - | - |
| 17 | 000000000436102 | BYAMUKAMA JUSTUS | 472,079 | 85,101 | - | 94,684 |
| 18 | 000000000436131 | TURIHOHABWE EDISON | 700,306 | - | - | 112,092 |
| 19 | 000000000436451 | KEMIGABO LOYCE | 700,306 | - | - | 112,092 |
| 20 | 000000000436452 | ORIKIRIZA ALEX | 447,080 | - | - | 36,124 |
| 21 | 000000000436477 | BANGIZI PEREGILINO | 316,393 | - | - | 8,639 |
| 22 | 000000000436479 | AHIMBISIBWE IMMACULATE | 413,158 | - | - | 25,947 |
| 23 | 000000000436511 | MBAMANYA GODIAS | 333,444 | - | - | 10,344 |

Workings | Final Working Sheet

READY

**TIP:** To get the individual TINs unto this table as required by the PAYE return, still you need to use Vlook up, where you have a sheet with computer number names and TINs, you will pick the column with TINs.

**Please note:**

Whilst, care has been taken to come up with this piece of guide, another easier method can be used as long as accurate results can be obtained for all the elements as mentioned above that is: TINs, employee names, basic salary, allowances, Local Service Tax and PAYE.

## WITHHOLDING TAX (WHT)

Withholding tax (WHT) is a form of advance income tax that is withheld at source by one person (withholding agent) upon making payment to another person (payee).

The supplier receives a Tax Credit Certificate that helps in offsetting tax liability in the final income tax return.

### Who is a Withholding Agent?

A withholding agent is a person legally obliged to withhold tax on payment. To become a withholding agent one must;

- Be on the list of selected / designated withholding agents published by the Minister of finance in a gazette or
- Be making a payment on a transaction that is required by law to be deducted from WHT.

The list of taxpayers exempted from withholding tax is available on the URA web portal under eservices>>List of agents>> Withholding Tax Exemption List>>Search using TIN or Name of Taxpayer

### Please note:

- Government agencies are designated withholding tax agents.
- The list of taxpayers exempted from withholding tax is available on the URA web portal under eservices>>List of agents>> Withholding Tax Exemption List>>Search using TIN or Name of Taxpayer

### WHT should be considered when making the following payments:

i. **International payments:** Tax is imposed on every non-resident person who derives any dividend, interest, royalty, natural resource payment or management charge from sources in Uganda. The tax is withheld by the payer at the rate of 15% on the gross amount before payment.

ii. **Payments to non-resident contractors or professionals:** Tax is imposed on every non-resident person deriving income under a Ugandan source service contract. The tax is charged at 15% of the gross amount of payment and the person making the payment should withhold the relevant tax before effecting the payment.

iii. **Payments on dividends:** A resident company which pays a dividend to a resident shareholder is required to withhold tax at 15% of the gross amount of the dividend paid, except where the dividend income is exempt from tax in the hands of the shareholder. However, where the dividend is paid by a company listed on the stock exchange to a resident shareholder, the rate is 10% on the gross amount.

iv. **Payment for goods and services:** A designated withholding agent, making payment of amounts in total exceeding Shs. 1,000,000 to any person in Uganda for the supply of goods, materials of any kind or services, is required to withhold 6% of the gross amount. The threshold of Shs. 1,000,000 is in respect of the total contract value, implying that separate supplies which constitute one contract are subject to the 6% withholding tax regardless of the amount paid per single supply.

**Illustration:**

If Kato a resident individual supplies goods worth 100M UGX to a government agency (Designated withholding agent), he will receive a net of 94 million UGX and the 6 million UGX (6% of 100M UGX) will be Withheld and remitted to URA by the government agency. Note that the 6million UGX withheld forms part of Kato's annual Tax liability and thus will reduce his Tax liability for the year.

## VAT WITHHOLDING

### WHO WITHHOLDS VAT?

A designated VAT Withholding agent is required to withhold 6% of the taxable value on all payments made to VAT registered suppliers or to persons who are not VAT registered but making a supply for an amount equivalent to or higher than Shs. 37,500,000 (one quarter of the annual VAT registration threshold).

The amount of tax is recognized as a payment in the subsequent VAT return of the person from whom the tax has been withheld.

**Please note:**

Withholding VAT shall not apply to persons who have been granted VAT withholding exemption.

The list of taxpayers designated/exempted from withholding VAT is available on the URA web portal under eservices>>List of agents>>VAT Withholding Agent List/Withholding Tax Exemption List>>Search using TIN or Name of Taxpayer.

### Responsibility of Filing a WHT return and Payment of WHT

- The responsibility for payment of the tax rests primarily on the person making payment as a withholding agent. Thus, in case of his/her failure to withhold the tax or in case of under-withholding, the under-collected tax becomes due from the withholding agent. However, the withholding agent is entitled to recover this amount from the Payee.

- A WHT Agent is required to file a WHT return and pay the WHT due within 15 Days after the end of the month.

**NOTE:**

Non-compliance to the requirement to withhold is punishable by law.

## VALUE ADDED TAX (VAT)

This is an indirect tax on consumption charged on value added to taxable supplies, at different stages in the chain of distribution at the rate of 18%.

Some transactions are beyond the scope of VAT and these are classified as exempt supplies and are specified in the Second Schedule of the VAT Act Cap 349. Supplies on which VAT is charged at 0% are classified as zero-rated supplies and are specified in the Third Schedule of the VAT Act Cap 349.

### Compulsory VAT registration

Public bodies that engage in business activities. These include Government Ministries, departments, parastatals, Town Councils and District Administrations among others. These bodies should apply for registration on the date they start dealing in business activities. The business activities include hall hire, tendering of services, markets, street parking, toilet management services, street bill board adverts and disposal of assets, among others.

### IMPORTANT

### ISSUANCE OF E-INVOICES OR E-RECEIPTS BY ALL VAT REGISTERED TAXPAYERS

IIt is mandatory for all VAT registered taxpayers to register for EFRIS and issue fiscalised invoices i.e. e-invoices.

The Electronic Fiscal Receipting and Invoicing Solution (EFRIS) is a new smart business solution used to record business transactions and share the information with URA in real time.

### PENALTIES FOR NON-COMPLIANCE IN REGARD TO EFRIS

- A VAT registered taxpayer who does not adopt the use of EFRIS is liable to pay a penal tax equivalent to the tax due on the goods or services or 400 currency points whichever is higher.
- A VAT registered taxpayer, for whom it shall be mandatory to use EFRIS and does not issue an e-receipt or e-invoice is liable to pay a penal tax equivalent to the tax due on the goods or services or three hundred currency points, whichever is higher.
- A fine of 1500 Currency points/imprisonment not exceeding 10 years or both on conviction for;
  - Forgery of an EFRIS invoice
  - Interfering with an EFRIS control device
  - Failure to use EFRIS

**Note:** One currency point =20,000 Uganda Shs.

## PERIOD FOR CLAIMING INPUT TAX

The law allows a period of six (6) months from the date of issue of the e-invoice within which a person can apply for an input tax credit.

### Please note:

Input VAT claims are limited to only supplies acquired for use in the related business, generating a taxable supply.

## RESPONSIBILITY OF FILING A VAT RETURN

A VAT registered taxpayer is required to file a VAT return and pay the VAT due within 15 Days after the end of the month.

## DEEMED VAT

### What is deemed VAT?

Deemed VAT is a VAT relief mechanism where VAT payable on a taxable supply is charged but not paid by the recipient of the taxable supply. The VAT is treated as if it has been paid on the taxable supply to the supplier.

### Taxable supplies made to government ministries, departments and agencies (MDAs) by a contractor executing an aid-funded project

Section 24(7) of the VAT Act provides that the tax payable on a taxable supply made to a government ministry, department or agency (MDA) by a contractor executing an aid-funded project is deemed to have been paid by that ministry, department or agency if the supply is for use solely and exclusively for the aid-funded project.

This means; when a supplier makes a taxable supply to an MDA executing an aid-funded project, they will raise a tax invoice to the MDA including the full VAT amount, however the MDA shall pay the supply consideration less the VAT. This is because the law deems the VAT on a supply to an aid-funded project to have been paid by the MDA.

The supplier then accounts for the deemed output VAT in their VAT submissions without having to remit the corresponding output VAT to the URA. The VAT return template accommodates the deemed VAT treatment.

### What is an aid-funded project?

Section 24(8) of the VAT Act defines an aid-funded project to mean a project financed by a foreign government or a development agency through loans, grants and donations.

### Why deemed VAT?

Assuming VAT has been paid by government makes it cheap to execute the project so that the executor/ funder does not also suffer the tax burden.

### What is excluded from the deemed VAT Provision?

Section 24(9) of the VAT Act provides that the tax payable on the taxable supply of a passenger automobile, and the repair and maintenance of that automobile or entertainment **shall not** be deemed to have been paid.

Section 24(10) of the VAT Act (10) defines "passenger automobile" to mean a motor vehicle designed solely for the transport of persons with a seating capacity of not more than eight persons; and "entertainment" to mean the provision of food, beverages, tobacco, accommodation, amusement, recreation, or hospitality of any kind.

### Implementation of the deemed VAT treatment

The implementation of the deemed VAT treatment on any transaction is initiated by an application made to the implementing offices.

- A taxpayer is required to write an application to Assistant Commissioner Business Policy seeking confirmation that the project or operation respectively qualifies for deemed VAT treatment.
- Upon receipt of the confirmation, a taxpayer can subsequently apply for deemed VAT treatment on the taxable supplies solely and exclusively for the qualifying project or operation stating their proposed suppliers, the description, unit of measurement and quantity of each supply.
- The above application must be accompanied by contract documents, progress reports, procurement plans, variation orders, time extension notices and any other documents which can aid the validation process.
- Upon validation of submitted documents, URA issues letters to suppliers stating the quantities of each supply which qualifies for deemed VAT and configure the approved supplies in EFRIS to enable e-invoicing as per the deemed VAT provision.

### Please note:

- ***The suppliers and recipients of taxable supplies are required to issue deemed VAT Invoices and file returns declaring deemed VAT.***

- ***Deemed VAT transactions should reflect in EFRIS***

## LOCAL EXCISE DUTY (LED)

This is a tax that is imposed on specified imported or locally manufactured goods, and services. Initially Excise Duty was meant for "luxury" or prohibited items. However excise duty is now treated as any other source of revenue for Government. The applicable rates may be specific or ad valorem.

### Local excise duty rates on telecom services

| Services | Excise duty Rates 2021/2022 |
|---|---|
| **Telecommunication Services** | |
| Airtime on mobile cellular, landlines and public pay phones | 12% of the fee charged |
| Internet data, except data for provision of medical services and education services | |
| Value added services | |

| | |
|---|---|
| Money transfer or withdrawal services, including transfers and withdrawal services by operators licensed or permitted to provide communications or money transfers or withdrawals but not including transfers and withdrawal services provided by banks. | 15% of the fee charged |
| Mobile money transaction of withdraw of cash | 1.5 % of the value of transaction |
| Incoming international calls, except calls from the Republic of Kenya, the Republic of Rwanda and the Republic of Southern Sudan. | USD 0.09 per minute |

## Calculation of Excise Duty payable in respect of excisable goods or services whose duty is expressed in percentages:

The excise duty payable by a person in respect of excisable goods or services whose excise duty is expressed as percentages shall be calculated using the following formula:-

**A X B**

Where,

**A** is the value of the excisable goods or services; and

**B** is the rate of excise duty applicable to the goods or services.

## Determining the value of an excisable service

The value of an excisable service is the amount exclusive of any tax and duty, paid or payable by the final consumer in consideration for the service.

## Please note;

- ***Where no amount is paid in consideration for the excisable service or where there is an application of the excisable service to own use by a person providing the service, the value of the excisable service shall be the market value of the excisable service.***
- ***The taxable value of money transfer services by cellular service providers, money transfer agencies and other financial service providers shall be the fees charged for a particular money transfer service transaction.***

## RESPONSIBILITY OF FILING A LOCAL EXCISE DUTY RETURN

Persons supplying excisable goods and services are required to register and file a LED return and pay the LED due within 15 Days after the end of the month.

## OTHER NON-TAX REVENUE (0NTR) /FEES

Non-Tax Revenue (NTR) is the recurring income earned by the government from sources other than taxes.

NTR fees were previously collected by the various Ministries, Departments and Agencies (MDAs), later Ministry of Finance (MOFPED) gave URA the mandate to collect all Non- Tax Revenue fees and to account for the fees Collected.

## ROLE OF URA IN THE ADMINISTRATION OF 0NTR

1. To facilitate the collection of all Non-Tax Revenue fees.
2. To account for the collected NTR revenues to the respective stakeholders. URA developed ETAX interface with the various MDAs. The MDAs are in position to reconcile paid assessments (registered PRNs on the URA Web portal that are paid).

## ROLE OF MDAS IN THE ADMINISTRATION OF 0NTR

The MDAs have the mandate of assessing the NTR fees on the various items under them.

## NTR FEES IN FOREIGN CURRENCY

Where the applicable NTR fees are in foreign currency, the NTR fees applicable, in Uganda shillings is computed as the product of the amount in foreign currency and the exchange rate (daily rate).

## NON TAX REVENUE REFUND

This is a process where a taxpayer claims money that was paid in excess or error at payment registration as fees collected by URA on behalf of other Government Ministries/Departments/Agencies.

The taxpayer is required to show proof of payment of such funds, e.g. the payment registration slip.

**Please note:**

The processing of the NTR refund shall only commence after submission of the necessary information within the timelines.

## The refund process is online.

A taxpayer applies for a refund by visiting the URA website, logs in with their TIN and password, under e- services ,clicks refund <> payment made to Ministry, Department or Agency.

## DO MDAS HAVE ACCESS TO THE COLLECTIONS AND HOW CAN THEY VIEW/ GENERATE THE COLLECTION REPORTS?

Yes, MDAs and DLGs interfaced with the URA can access their payments whenever they want if the y log on through their authorized staff.


## CAN MDAS ACCESS THE ONTR FEES COLLECTED BY URA AND HOW CAN THEY VIEW/ GENERATE THE COLLECTION REPORTS?

Yes, an MDA or Local Government interfaced with the URA can access their ONTR collections whenever they want if they log on through their authorized staff, after fulfilling the requirements below:

## MDA REQUIREMENTS FOR CONFIGURATION AND REQUEST FOR RIGHTS TO ACCESS ONTR REPORTS ON THE PORTAL

1. Write a letter addressed to URA Commissioner Domestic taxes requesting URA to add your fees on the system
2. Attach to the letter, a detailed and up to date list (Statutory instrument) of all fees collected by you in, a sample format is attached.
3. Include in the letter, full names, phone contacts and email addresses (preferably work emails) of contact persons and/or users of the accounts:

| S. No | Staff Name | Personal Email | Personal Phone Number | Designation / Job role |
|---|---|---|---|---|
| E.g. | Mary Kaboha | Mkaboha @ gmail.com | 0772567099 | Principal Accountant |

4. The Letter should be duly signed off by authorized persons

## 5. Excel template to be populated

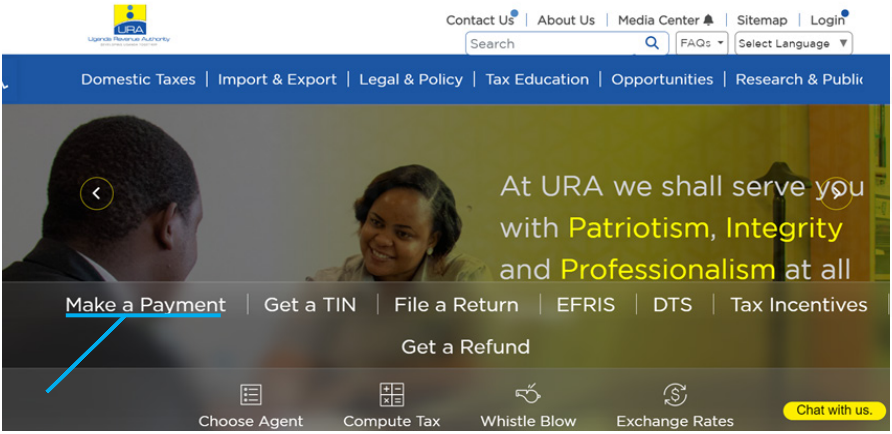
| MDA | Department | Category | Sub-Category | Tax Head | Description | Fee |
|---|---|---|---|---|---|---|
| NIRA | REGISTRATION OF PERSONS | IDENTIFICATION CARDS | Change of information | a) New ID required | | 50,000 UGX |
| | | | | b) New ID not required | | Nil |
| | | | Correction of Errors | a) New ID required | | 50,000 UGX |
| | | | | b) New ID not required | | Nil |
| | | | New alien's ID card | | | 100 USD |
| | | | Confirmation of a person's Information | | | For every record |
| | | | Renewal of ID | a) Renewal of National ID | | 50,000 UGX |
| | | | | b) Renewal of Alien's ID | | 100 USD |
| | | | Late renewal of ID (For both Nationals and Aliens ) | The default period is;<br>a) Less than 1 month<br>b) 1 Month | | 40,000 UGX<br>Not Stated. 40,000 |
| | | | | c) More than 1 month but less than 3 months | | 140,000 UGX |
| | | | | d) 3 Months | | Not Stated. 140,000 |
| | | | | e) More than 3 months but less than 6 months | | 240,000 UGX |
| | | | | f) 6 Months | | Not Stated 240,000 |
| | | | | g) More than 6 months | | 2 Currency points for each day of default<br>1 = 20,000 UGX |
| | | | Replacement of Lost ID Card | a) National ID Card | | 50,000 UGX |
| | | | | b) Alien ID Card | | 100 USD |
| | | | Replacement of Defaced or Damaged ID | a) National ID Card | | 50,000 UGX |
| | | | | b) Alien ID Card | | 100 USD |

## HOW TO GENERATE A PAYMENT REGISTRATION SLIP FOR PAYMENT OF ONTR FEES AND COMMISSIONS

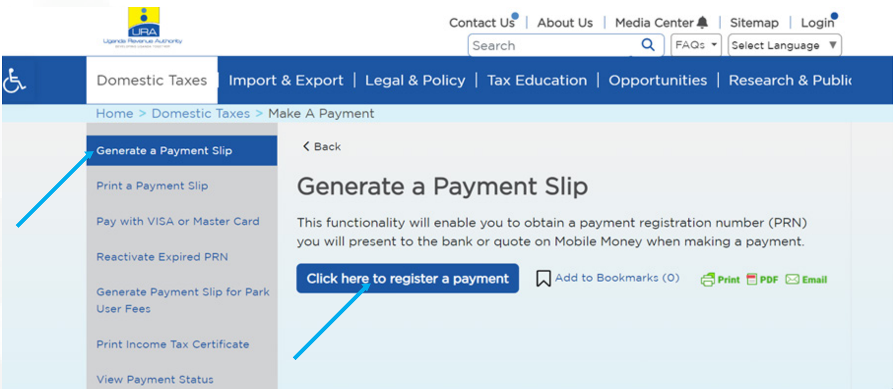
### A. FEES

**Step 1:**

Visit the URA web portal **http://ura.go.ug** and on the home page, click **Make a payment**

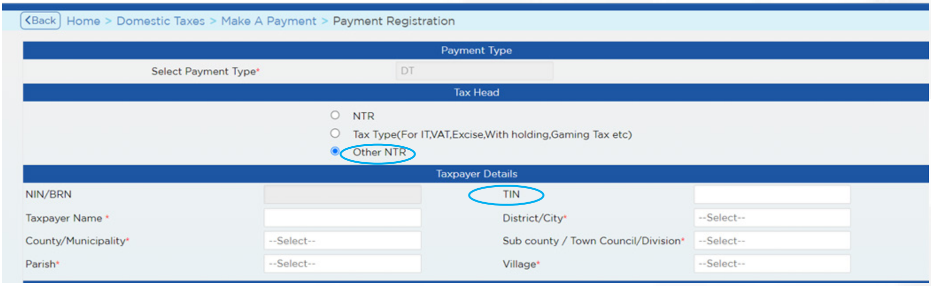



**Step 2:**
From the menu on the left hand side, click **Generate a payment slip** and **select Click here to register a payment**

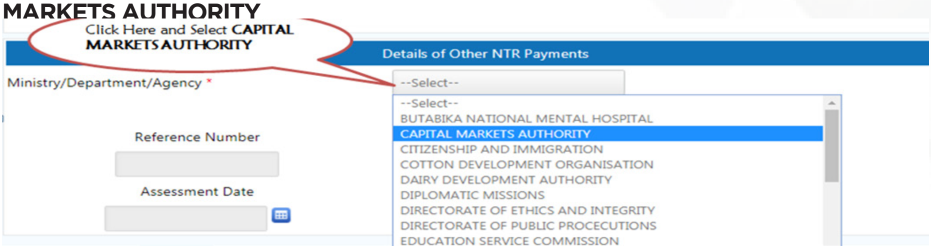



**Step3:**
On the payment registration page;

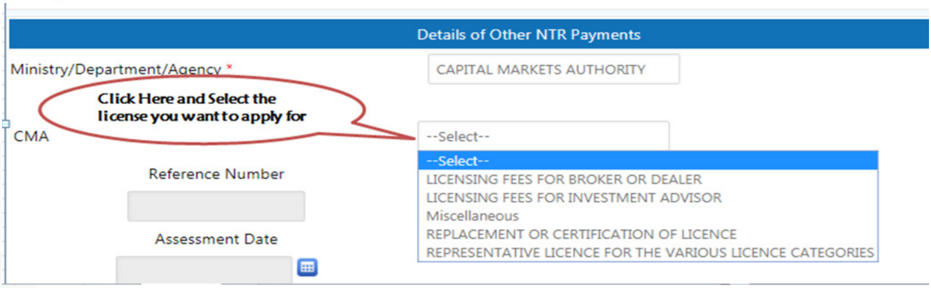
- Under Tax Head, **select other NTR**
- Under Taxpayer details**, provide the taxpayer TIN , taxpayer name and district/ city** Individual Investment Advisors should use the TIN numbers of the company. The system automatically fills in the other fields.




**Step 4:** Click the "Select" Box on **Ministry/Department/Agency*** and Select **CAPITAL MARKETS AUTHORITY**



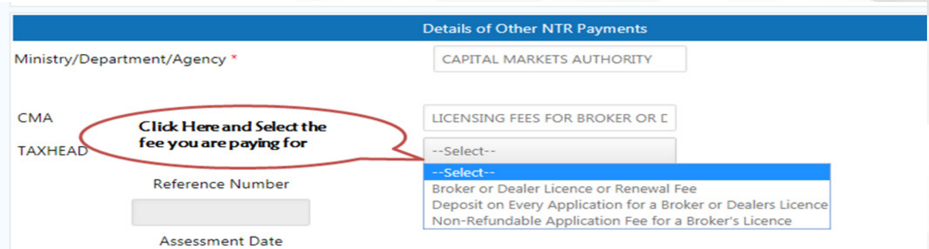

**Step 5:** Click the "Select" box on **CMA** as shown below and select an option based on the license you intend to apply for




**Step 6:** Next, click the "Select" box on **TAX HEAD** and choose the particular fee you are paying for.

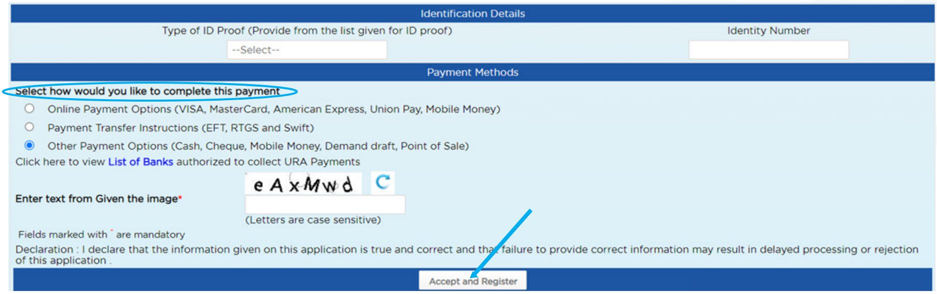
**NOTE** that the License Application fees are paid **BEFORE** submission of the required application documents to CMA. The License Renewal fees are paid **AFTER** your application has been reviewed and approved by the Authority.

The fees are fixed by the system so check to be sure you selected the correct category.




**Step 7:** Fill in the identification details you wish to use when making communications with CMA and URA over this payment under **Identification Details.**

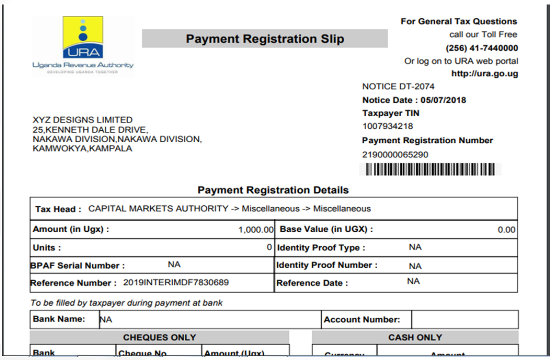
**Step 9:** Select the Payment Option you wish to use as shownin the figure below;




**Step 10:** Click **Accept and Register as shown in the figure above**.

This will generate a Payment Registration Slip with a **Payment Registration Number (PRN)** like the one shown below. Use your payment slip at the bank to make the payment.

For online banking, mobile and Point of sale payment modes, type the **Payment Registration Number (PRN)** in the payment details when making the payment.



URA
Uganda Revenue Authority

**Payment Registration Slip**

**For General Tax Questions**
call our Toll Free
**(256) 41-7440000**
Or log on to URA web portal
**http://ura.go.ug**

NOTICE DT-2074
**Notice Date : 05/07/2018**
**Taxpayer TIN**
1007934218
**Payment Registration Number**
2190000065290

XYZ DESIGNS LIMITED
25,KENNETH DALE DRIVE,
NAKAWA DIVISION,NAKAWA DIVISION,
KAMWOKYA,KAMPALA

**Payment Registration Details**

| | | | |
|---|---|---|---|
| **Tax Head :** CAPITAL MARKETS AUTHORITY -> Miscellaneous -> Miscellaneous | | | |
| **Amount (in Ugx) :** | 1,000.00 | **Base Value (in UGX) :** | 0.00 |
| **Units :** | 0 | **Identity Proof Type :** | NA |
| **BPAF Serial Number :** | NA | **Identity Proof Number :** | NA |
| **Reference Number :** | 2019INTERIMDF7830689 | **Reference Date :** | NA |

*To be filled by taxpayer during payment at bank*

| | | | |
|---|---|---|---|
| **Bank Name:** | NA | **Account Number:** | |

| CHEQUES ONLY | | | CASH ONLY | |
|---|---|---|---|---|
| Bank | Cheque No | Amount (Ugx) | Currency | Amount |

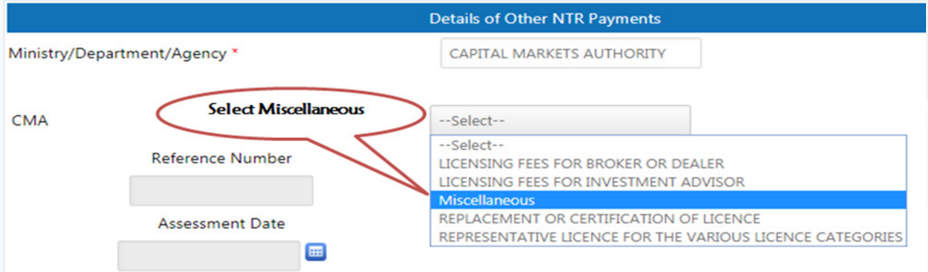
## B. COMMISSIONS

### SHARE TRADING COMMISSIONS

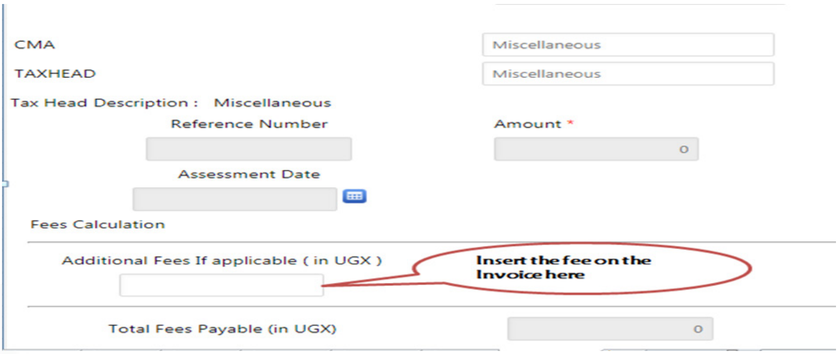
**Step 1:** You shall receive an invoice for Share Trading Commissions from CMA

**Step 2**: Follow steps 1 to 4 as above.

**Step 3:** Select **Miscellaneous** as indicated below




**Step 4:** Insert the fee indicated on the invoice under **Additional Fees If applicable ( in UGX ), as below**




**Step 5:** Follow Step 7 to 10 to select your TIN number and payment mode. This will also generate A Payment Registration Slip with a **Payment Registration Number** to enable payment.

**NOTE THAT; UNUSED PAYMENT REGISTRATION SLIPS EXPIRE AFTER 21 DAYS**

**WHAT IS REQUIRED OF YOU AS A TAX PAYER AFTER TIN REGISTRATION?**

You will be required to meet your tax obligations by timely filing tax returns and making payments.

### CAN A TAXPAYER AMEND A TAX RETURN?

A taxpayer may amend the tax return on condition the return is not under investigation and amendment is done within 3 years from the date on which the original return was lodged by the taxpayer.

## IS THERE AN EXTENSION OF THE RETURN FILING DATE?

- If you are not able to file a return by the due date, you can apply for an extension to file your return providing reasons justifying the extension.
- The extension if granted will not exceed 90 days (in aggregate) and does not change the due date for payment of the tax due. Interest will, therefore, accrue on any outstanding tax liability.
- If any taxpayer is dissatisfied with the Commissioner's decision about the extension, he may challenge it under the objection and appeals procedure.

## PENALTIES IN REGARD TO RETURN FILING

**Failure to file a return**
A person who fails to furnish a tax return by the due date or within a further time allowed by the Commissioner is liable to a penal tax equal to 2% of the tax payable under the return before subtracting any credit allowed to the taxpayer on his or her tax return or 200,000 UGX per month, whichever is higher, for the period the return is outstanding.

**Providing false /misleading information**
A person who knowingly or recklessly makes false or misleading statements or omits from a statement to a tax officer of Uganda Revenue Authority, a matter or thing without which the statement is misleading, and the tax properly payable by the person exceeds the tax that was assessed as payable based on the false or misleading statement or omission, that person is liable to pay a penal tax equal or double the amount of excess.

## WHAT IS A TAX ASSESSMENT?

A tax assessment is a document/ form showing the estimated taxable income of a person and the tax payable on it including any penalty. Tax assessment include;

### Default assessment

This is a tax assessment made to a taxpayer based on estimated taxable income of that person. It is generated and issued by the Commissioner due to failure by the taxpayer to furnish a self-assessment return for any given tax period.

### Advance assessment

Is a declaration issued if the Commissioner is satisfied that there is a risk that a taxpayer may delay, obstruct, prevent, or render ineffective payment or collection of tax that has not yet become due.
It may be made before the date on which the taxpayer's tax return for the period is due.

It can be issued if a taxpayer defaults in submitting an advance return when requested by the Commissioner. However the Commissioner can also issue this assessment without notice. This assessment can be objected to and can also be amended.

Where the taxpayer files a returns for a given period on which a Default or Advance assessments was issued, the taxpayer's return for that period shall be accepted and takes precedence over the default assessment.

Taxpayer is allowed to submit his/her return together with the objection.

### Additional assessment

This is an amendment of an original tax assessment issued by the commissioner for any tax period to ensure that correct tax liability is obtained.

It is made at any time where fraud or any gross or willful neglect has been committed by, or on behalf of the taxpayer or new information has been discovered in relation to the tax payable for a tax period.

## PAYMENT OF TAX

### WHAT NEXT AFTER FILING THE RETURN?

After filing a return, the taxpayer is required to register a payment and pay the tax due using available payment modes e.g. bank, URA USSD code *285 #, AskURA App, VISA, MasterCard, American Express, Union Pay, Mobile Money, EFT, RTGS and Swift, Cash, Cheque, Demand draft, or Point of Sale.

**Please note:**

The due date of making the payment is the same as the return filing due date.

### HOW DOES ONE REGISTER A PAYMENT?

To register a tax payment;

- Visit the website, https://ura.go.ug
- On the home page, click Make a payment.
- Select generate a payment slip and fill in the required fields.
- On submission, you will receive a payment registration slip
- Take note of the Payment registration number on the slip or print out the slip to make payment using the different URA payment platforms(USSD code *285#, Visa, EFT, RTGS, Bank etc.)

### WHAT HAPPENS IN THE CASE OF UNPAID TAX?

Any unpaid tax shall be collected by the Commissioner through serving a notice of demand on the person liable.

The taxpayer will be given at least 28 days from the date of service of the notice within which they can pay any outstanding amount specified in the demand notice.

### FAILURE TO PAY TAX

Failure to pay attracts interest at a rate of 2%.per month the tax is not paid.

### HOW IS PAYMENT OF OUTSTANDING TAX ALLOCATED?

If a taxpayer has any outstanding liability and pays any amount, the payment will be allocated in the order of PPI (Principal tax liability, penal tax and Interest due).

If a taxpayer has more than one tax liability at the time a payment is made, the amount will be used to clear the oldest / earliest liability first in the same order as above (PPI).

# Report any unpleasant service from URA staff

**THINK • SPEAK • EXECUTE**

Contact us: 0800117000 or 0800217000 | WhatsApp: 0772140000
Service Inquiry: services@ura.go.ug | Report Corruption: ignite@ura.go.ug

## CAN A TAXPAYER REQUEST TO PAY TAX AT LATER DATE?

A taxpayer can apply in writing to the Commissioner for an extension to pay tax at a later date. The date of payment can be extended but the payment due date is maintained. Interest shall accrue from the due date of the payment.

## OBJECTIONS AND APPEALS

### What happens to a taxpayer who has been assessed and is dissatisfied?

The taxpayer has an option and a right to object to the decision against him/her.

### What is an objection?

An objection is a communication from a taxpayer to the Commissioner expressing dissatisfaction with either an assessment raised on him/her or any other tax decision made by the Commissioner.
This is always presented in the format prescribed by the Commissioner.

### What are the Objection timelines?

- A person dissatisfied with a tax decision for example an assessment, may within 45 days after receiving notice of tax decision, lodge an objection with the Commissioner.
- The objection should be in a prescribed form and state precisely the grounds upon which it is made. There should be sufficient evidence to support the objection.
- Where a taxpayer has lodged an objection to a tax assessment for the tax period, the Commissioner may consider the objection if the taxpayer;
  - Has filed the return to which the assessment relates in the case of a default or advance assessment;
  - Has paid the tax due under the return to which the assessment relates together with any penalty or interest due
- A taxpayer may apply in writing to the Commissioner for an extension of time to lodge an objection.
- The Commissioner may, if satisfied with the grounds upon which the application is made, grant an extension for such period as the Commissioner determines.
- The Commissioner may make a decision on an objection;
  - To a tax assessment affirming, reducing, increasing or otherwise varying the assessment to which the objection relates; OR
  - To any other decision affirming, varying or setting aside the decision.
- The Commissioner shall within 90 days from the date of receipt of the objection, serve notice of an objection decision.
- Where an objection decision has not been served within 90 days, the person objecting may, by notice in writing to the Commissioner, elect

to treat the Commissioner as having made a decision to allow the objection.
- Where a person makes an election, the person is treated as having been served with a notice of objection decision on the date the person's election was lodged with the Commissioner.

**Note that**; this time limit for making an objection decision is waived where a review of the taxpayer's records is necessary for settlement of the objection and the taxpayer is notified.

- Where the Commissioner reviews the taxpayer records, the Commissioner shall with in ninety days, notify the taxpayer of the review.

## Alternative Dispute Resolution

A person dissatisfied with an objection decision may within Seven (7)days after being served with a notice of the objection decision, apply to the Commissioner to resolve the dispute amicably through Alternative Dispute Resolution(ADR) mechanisms including reconciliation, mediation, negotiation and settlement. ADR is another avenue for taxpayers who would like to review tax decisions issued by URA without necessarily lodging an appeal to the Tax Appeals Tribunal.

## Appeals

### 1. Tax Appeals Tribunal (TAT)

A person dissatisfied with the decision of the Commissioner may appeal to the Tax Appeals Tribunal
A person intending to lodge an appeal against the decision of the Commissioner shall do so within 45 days after being served with the decision and shall serve a copy of the appeal on the Commissioner.

### 2. High court

A person dissatisfied with a decision of the Tribunal may, within 30 days after being served with a notice of the decision, lodge an application with the High Court for review of the decision.

### 1. Court of Appeal

- A person dissatisfied with a decision of the High Court, arising from appeals to the TAT, may, within 30 days after being served with a notice of the decision or within further time as the Court of Appeal may allow, lodge an application with the Court of Appeal for review of the decision. This appeal will be on questions of law only.
- The Court of appeal shall inquire and determine the appeal expeditiously and shall declare its findings not later than 60 days from the date of filing the appeal.

### 2. Supreme Court

- An appeal to the Supreme Court may be lodged with a certificate of the court of appeal that the matter raises questions of law of great public importance or if the Supreme Court in its overall duty to see that justice is done, considers that the appeal should be heard.

- The Supreme Court shall inquire and determine the appeal expeditiously and shall declare its findings not later than 30 days from the date of filing the appeal."
- Where the decision maker is required to refund an amount of tax to a person as a result of a decision of a reviewing body, the tax shall be repaid with interest at the rate specified in the relevant law on the amount of the refund for the period commencing from the date the person paid the tax refunded and ending on the last day of the month in which the refund is made.
  Reviewing body means the Tribunal, the High Court, the Court of Appeal and the Supreme Court.

### Burden of proof

- For any objection to a tax assessment, the burden is on the taxpayer to prove that the assessment is incorrect.
- For any other tax decision, the burden is on the person objecting to the decision.

## FAILURE TO PROVIDE INFORMATION UPON RECEIVING A REQUEST FROM UGANDA REVENUE AUTHORITY

- Taxpayers who fail to provide information upon receiving a request from Uganda Revenue Authority are prohibited from presenting new information when objecting to a tax decision or during ADR proceedings.
- However, this restriction shall not apply to the information requested for by the Commissioner where the information is more than three years from the date the document was authored or beyond the past three financial years.

## INVESTIGATIONS

## WHO IS ENTITLED TO ACCESS TAX INFORMATION?

The Commissioner is entitled to have at all times and without prior notice, full and free access to; any premises or place; any record and any data storage device.
The Commissioner can make an extract or copy, seize any record, data storage device that may contain data relevant to a tax obligation; and retain any record or data storage device seized for as long as it is required for determining a taxpayer's tax obligation and liability.

## HOW IS EVIDENCE OBTAINED?

The Commissioner may request any person;

(a) to furnish any information or
(b) to attend and be examined at the time and place designated for that purpose concerning the tax affairs of that person or any other person.

For that purpose, the Commissioner may require the person to produce any record, including an electronic format, in the control of the person.

## REMISSION/ WAIVER OF UNPAID TAX.

The power to remit/waive any tax that cannot be effectively recovered by reason of hardship, impossibility, undue difficulty or excessive cost of recovery is exercised by the Minister subject to Parliamentary approval.

## IMPORTANT INFORMATION
### Other Offences and penalties:

- A person who obstructs a tax officer in the performance of duties under a tax law is liable to a fine not exceeding Shs. 5,000,000 or imprisonment not exceeding ten years or both on conviction.
- A person who aides or encourages a tax offence is liable to a fine not exceeding Shs. 5,000,000 or imprisonment not exceeding ten years on conviction. Where the offender is a Tax agent, the applicable fine is equal to double the tax evaded or not exceeding UGX 5,000,000 whichever is higher, or imprisonment for a term not exceeding 5 years, or both.

### Is there any advice to the MDAs?

- Mobilise your key stakeholders for example, accountants/ accounting officers and invite URA to sensitize them.
- Register for taxes,
- Periodically assess yourselves by filing returns and Pay liabilities due by the due dates to avoid any penalties and interest that may accrue due to non-compliance.
- Always attend URA Tax clinics / trainings whenever called upon.
- Engage URA as much as possible to avoid being misled about taxes.

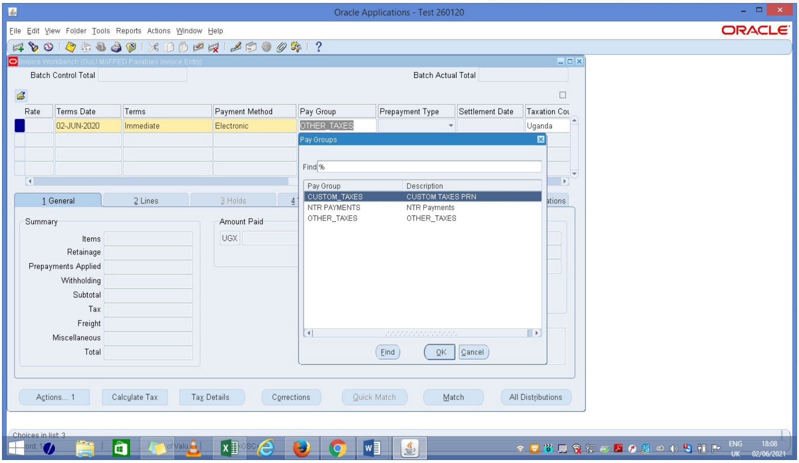
### Are there any initiatives to train MDAs?
One of URA's focus areas this financial year are government agencies and thus we urge MDAs to fully participate and attend tax clinics and workshops when called upon..

## URA INVOICE PROCESSING ON IFMS

## CAPTURING URA INVOICES ON IFMS

When processing invoices to URA supplier number (**10858**) in the invoice entry form, the **Pay Group** picked should be one of **ONLY 3** (from the list of values) indicating which tax pay group the payment relates to. These include:

**A) OTHER_TAXES**
**B) NTR PAYMENTS**
**C) CUSTOM_TAXES**

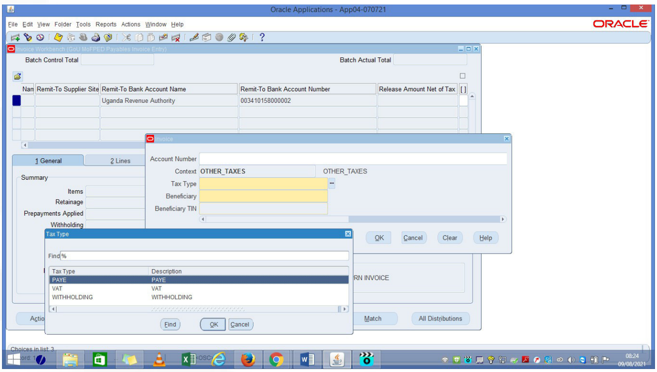



## A) OTHER_TAXES

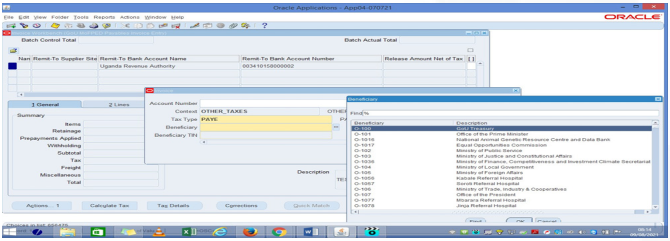
**OTHER_TAXES** consist of tax types such as:

i. **PAYE**
ii. **VAT**
iii. **WITHOLDING TAX**

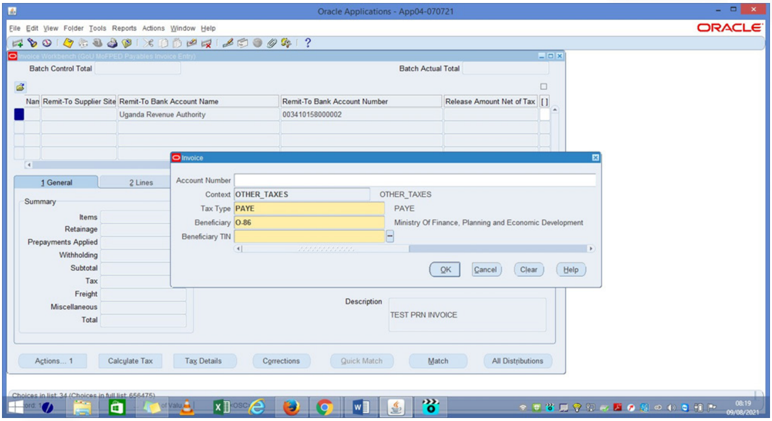
Selecting **OTHER_TAXES** in the Pay Group indicates that the user wishes to pay any of the 3 types above. The **DFF** field (at the end of the invoice line) will be activated with these **3 TAX TYPES** from which a user selects the one they intend to process.



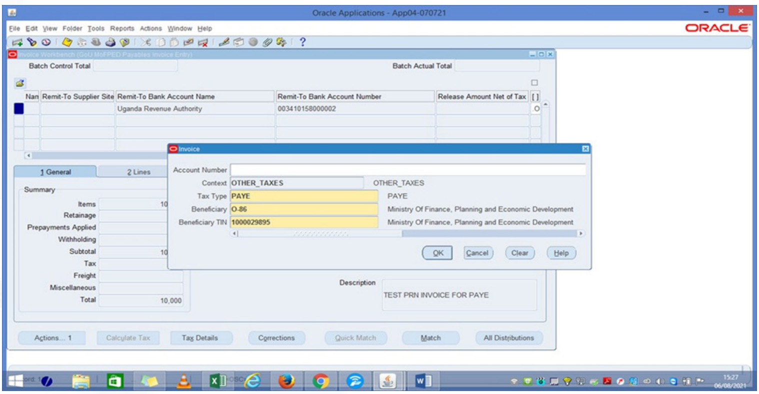

The user should select the related **TAX TYPE** they intend to process e.g., **PAYE, VAT or WITHHOLDING TAX** and populates the **Beneficiary** and **Beneficiary TIN** of the entity for which they are processing Tax Invoice (***only pick the Beneficiary and Beneficiary TIN from the list of values using search methods***).




Once the **Beneficiary** is selected, the **Beneficiary TIN** is activate as a mandatory field.




The user selects the List of Values of the **Beneficiary TIN** which auto-populates the Beneficiary TIN.

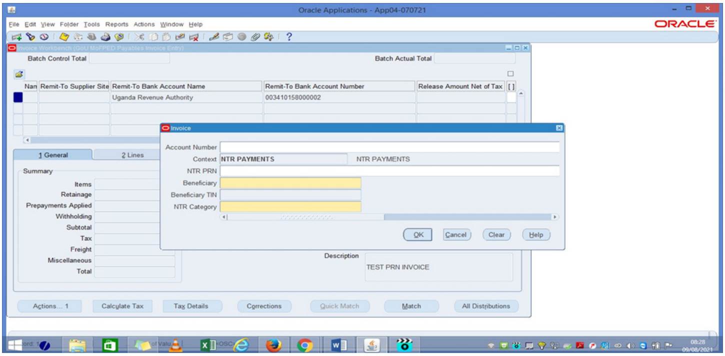



Once the **Beneficiary and Beneficiary TIN** are populated, the user should select **OK** and proceed to process the rest of the invoice details (lines and distributions). All other processes remain as they currently exist.

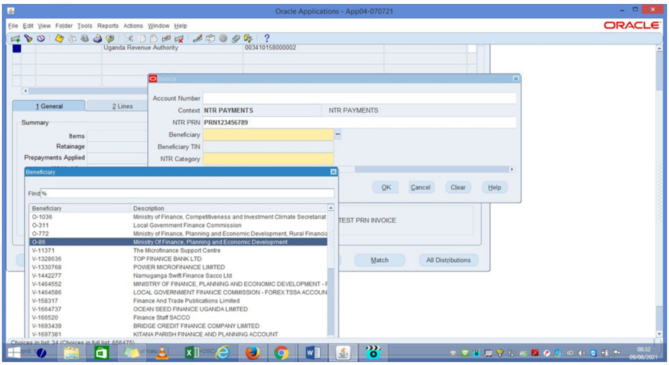
## B. NTR PAYMENTS

**NTR PAYMENTS** (As indicated in the Pay Group selected) relate to any direct non-tax revenue payments made to URA such as school fees. When a user selects this Pay Group, the **DFF** is activated with the **NTR PRN** as an optional field, whereas the Beneficiary and NTR Category are mandatory.

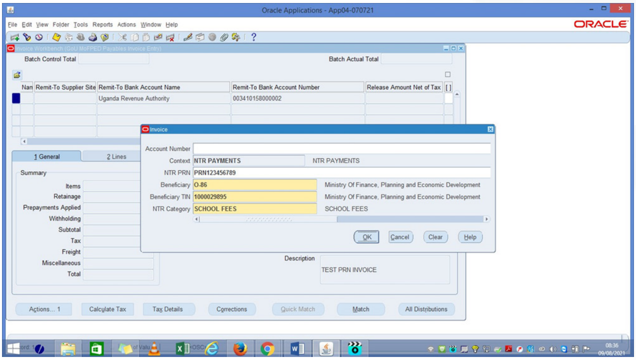
The **NTR PRN** field is optional because not all NTR payments made to URA require the taxpayer to generate a payment reference number (**PRN**) on the URA PORTAL prior to initiating the payment invoice on IFMS.




The user should select the **Beneficiary from the List of Values and this activates the Beneficiary TIN** as a mandatory field for which they are processing the NTR Invoice (***only pick the Beneficiary from the list of values using search methods***).



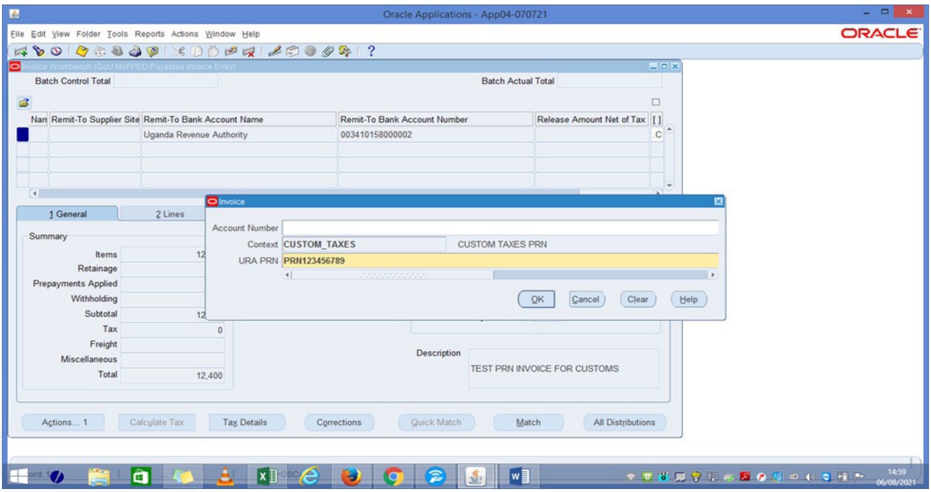

The user should then select the relevant **NTR Category** (***only pick from the list of value using search methods***) e.g., school fees.




Once the Beneficiary, Beneficiary TIN and NTR Category are populated, the user should select **OK** and proceed to process the rest of the invoice details (lines and distributions). All other processes remain as they currently exist.

## C. CUSTOMS TAXES

Where Customs Taxes is the option selected in the Invoice Pay Group (for processing of customs taxes), the user **MUST** populate the **URA PRN** field in the **DFF** as this is mandatory. This is because any payments relating to customs taxes require the taxpayer to have generated a payment reference number (PRN) on the URA portal prior to initiating the payment invoice on IFMS.




Once the **URA PRN** is populated, the user should select **OK** and proceed to process the rest of the invoice details (lines and distributions). All other processes remain as they currently exist.

## WHAT ARE THE COMMON RETURN FILING MISTAKES MADE BY GOVERNMENT AGENCIES?

- Not assigning the correct TINs to the right owners.
- Under declaration of employees emoluments/payments for PAYE deductions
- Not including benefits in kind in computation of employment income for the employees
- In-complete, inconsistent and inaccurate data in the return
- Partial declaration of LED deductions
- Failure to amend wrongly filed returns
- Exaggerating expenses.
- Under declaration of sales
- Non-issuance of e-invoices or e-receipts
- Not reporting all sources of income

## WHAT ARE SOME OF THE AREAS THAT NEED COMPLIANCE IMPROVEMENT BY GOVERNMENT AGENCIES?

- Ignorance or uncertainty about tax obligations.
- Misuse of the money earmarked for taxes by reallocating it to other unfunded needs.
- Limited concern by government staff for the quality and consistency of their tax returns.
- Overlooking return filing deadlines (late filing)
- Non- filing
- Non-payment and late payment
- Return filing errors
- Low attendance of tax sensitization workshops by government agencies.
- Disregarding amendments or changes to tax laws.

**Note:**

It is the responsibility of an entity to reconcile its ledger to zero balance.

The URA web portal can ably facilitate this and handholding sessions on the same matter are ongoing.


URA
Uganda Revenue Authority
DEVELOPING UGANDA TOGETHER
Trapped with an **express penalty ticket**, just pick the **PRN** and pay using...
*285#
#URAMungalo
UGANDA POLICE FORCE
Express Penalty System
Ticket No:
Issue Date:
Time: 0000 Hrs
Ticket Details
Driver Name
Permit No
Telephone
Place
MV Reg
Car Make SUBARU
Car Model SUBARU
Officer Name AGUTI
Officer Id CPL
Amount 100,000
Surcharge 50,000
Total Amount 150,000
Offence Code 11
Description: Careless or inconsiderate use of motor vehicle
WARNING:FAILURE TO SIGN MAY LEAD TO YOUR ARREST
I sign my name as evidence of receipt of a copy of this charge and not as an admission of guilty. I will comply with the requirements.
Offender's Signature
Valid for 28 days, 50% Surcharge applies after.
You have a right to stand trial incase you do not want to pay the fine
PRN: 2210001347066
A1668809
For more details
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